

CHAPTER 5

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INDIAN REGULATORY ECOSYSTEM TO PREVENT GREENWASHING

India does not lack legal provisions touching greenwashing. It lacks a system that makes those provisions work together. Consumer law, securities regulation, company law, sectoral standards and environmental adjudication each capture part of the problem. None captures the whole of it. That is why companies can move the same environmental claim across packaging, advertising, sustainability reporting and investor communication while facing only fragmented scrutiny.

This chapter stays doctrinal, but asks a practical question: where does the architecture fail? The descriptive analysis sets out what the law provides; the interpretive analysis explains what those materials mean for greenwashing; the critical analysis isolates the pressure points; and the normative analysis indicates what the law still needs. The discussion moves from constitutional foundations to the three regulatory pillars, then to sectoral standards and the systemic design failures that keep accountability weak.

5.1 CONSTITUTIONAL BEDROCK

India's response to greenwashing rests on constitutional environmental law as much as on sectoral statutes. Environmental protection has been treated as part of fundamental law and closely tied to a rights-based approach. Through Article 21, the Directive Principles and fundamental duties, Indian courts have built a framework for environmental justice.³⁷⁷ The jurisprudential expansion of that framework owes much to the environmental public-law litigation associated with cases such as *M.C. Mehta*.³⁷⁸

³⁷⁷ M. P. Jain, *Indian Constitutional Law* (2019); see also Smita Satapathy, *Constitutional Provisions for the Protection of Environment in India*, 4(2) Int'l J. L. Mgmt. & Human. 3060 (2021).

³⁷⁸ Ayush Verma, *How MC Mehta Led to the Formation of Jurisdiction on Environmental Laws in India*, ipleaders (Aug. 15, 2020), <https://blog.ipleaders.in/mc-mehta-led-formation-jurisdiction-environmental-laws-india> (last visited Aug. 3, 2025).

Article 21, which guarantees the right to life and personal liberty, has become the main constitutional basis for environmental rights.³⁷⁹ Courts have read “life” broadly to include a clean, healthy and decent environment.³⁸⁰ The foundational case is *Rural Litigation and Entitlement Kendra, Dehradun and Ors. v. State of Uttar Pradesh and Ors.* (1985),³⁸¹ the Doon Valley case. There, the Court ordered closure of several limestone quarries and held that Article 21 includes the right to a wholesome and healthy environment and that mining-related environmental degradation violated the rights of affected communities. Activities that pollute air or water, or otherwise degrade environmental conditions in a way that threatens life, can therefore violate Article 21.³⁸² The Court has also linked Article 21 to procedural fairness, information access and community participation.³⁸³

This line of reasoning reached a new point in 2024 when the Supreme Court expressly recognised climate protection as a fundamental right. In *M.K. Ranjitsinh & Ors. v. Union of India & Ors.*,³⁸⁴ the Court held that the “right to be free from the adverse effects of climate change” forms part of Articles 21 and 14.³⁸⁵ The judgment linked climate protection with the already recognised right to a clean and healthy environment and emphasised that climate harms fall unevenly on vulnerable groups. It therefore placed climate protection firmly within India’s constitutional framework.

The same litigation advanced further in the final judgment of 19 December 2025 (2025 INSC 1472). The Court held that Corporate Social Responsibility under Section 135

³⁷⁹ *Environment Protection under Constitutional Framework of India*, Press Info. Bureau (Apr. 22, 2014), <https://www.pib.gov.in/newsite/printrelease.aspx?relid=105411> (last visited Aug. 9, 2025).

³⁸⁰ Mahi Pandit, *Constitutional Recognition of Environmental Protection in India* (Mar. 23, 2023) (unpublished manuscript), <https://papers.ssrn.com/abstract=4506392> (last visited Aug. 13, 2025).

³⁸¹ *Rural Litigation & Entitlement Kendra, Dehradun v. State of Uttar Pradesh*, AIR 1985 SC 652 (India).

³⁸² *Subhash Kumar v. State of Bihar*, (1991) 1 SCC 598 (India) (holding that the right to life under Article 21 includes the right to enjoy pollution-free water and air).

³⁸³ P.S. Shankar & S. Bindal, *Right to Environment and Right to Development: A Judicial Conundrum*, 4(1) Int’l J. L. Mgmt. & Human. 642 (2021).

³⁸⁴ *M.K. Ranjitsinh & Ors. v. Union of India & Ors.*, 2024 SCC OnLine SC 1259 (India).

³⁸⁵ *M.K. Ranjitsinh & Ors. v. Union of India & Ors.*, 2024 SCC OnLine SC 1259 (India).

of the Companies Act, 2013 must be read with Article 51A(g) and Section 166(2) and that CSR includes Corporate Environmental Responsibility (CER), not just philanthropy or social welfare.³⁸⁶ Companies and directors therefore cannot treat environmental protection as optional charity. For greenwashing, the implication is clear: when environmental claims are contradicted by operations, the issue is not only misleading advertising but also breach of a constitutionally grounded corporate duty.

The 42nd Amendment added Articles 48A and 51A(g), creating a dual structure of environmental responsibility. Article 48A requires the State to protect and improve the environment and safeguard forests and wildlife.³⁸⁷ Article 51A(g) imposes a fundamental duty on citizens to protect and improve the natural environment. Read with Article 21, these provisions form the constitutional base for environmental protection.³⁸⁸ They also guide judicial interpretation of statutes and executive action. Greenwashing, understood in Indian regulatory terms as the making of misleading or unsubstantiated environmental claims,³⁸⁹ cuts against both sides of this framework: when the State fails to regulate it, Article 48A is weakened; when corporations engage in it, they act against the duty reflected in Article 51A(g).

The constitutional framework is reinforced by judge-made doctrines that matter directly for greenwashing.

The Public Trust Doctrine holds that certain natural resources must be preserved for public use. Rivers, lakes, forests, seashores and air are held by the State in trust for the public. The Supreme Court adopted this doctrine as part of Indian law in *M.C. Mehta v. Kamal Nath* (1997) and held that such resources must be maintained for

³⁸⁶ *M.K. Ranjitsinh & Ors. v. Union of India & Ors.*, 2025 INSC 1472, ¶¶ 25–32 (India).

³⁸⁷ India Const. art. 48A.

³⁸⁸ India Const. arts. 21, 48A, 51A(g); see also *M.K. Ranjitsinh & Ors. v. Union of India & Ors.*, 2024 SCC OnLine SC 1259 (India).

³⁸⁹ Cent. Consumer Prot. Auth., *Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims*, Notification No. F. No.-CCPA/28/2023-CCPA (Oct. 15, 2024) (India) (defining greenwashing as deceptive or misleading environmental claims, including vague, false, or unsubstantiated claims).

public purposes.³⁹⁰ *Greenwashing nexus*: false environmental claims let corporations borrow public environmental legitimacy without earning it. The doctrine therefore supports the view that greenwashing is a misuse of environmental trust that the State must prevent.

The Precautionary Principle requires environmental decision-making to anticipate and prevent environmental degradation. In *Vellore Citizens' Welfare Forum v. Union of India and Ors.* (1996),³⁹¹ the Supreme Court held that lack of full scientific certainty is not a reason to delay preventive measures where serious or irreversible harm is threatened. The Court also shifted the burden of proof to the developer or polluter to show environmental safety. *Greenwashing nexus*: the same burden-shifting logic is highly relevant to green claims. If a company says a product is “carbon neutral” or “100% biodegradable”, the burden should lie on the company to prove it, not on consumers or regulators to disprove it. This supports the CCPA’s 2024 substantiation requirement.

The Principle of Sustainable Development, rooted in the Brundtland Report (1987), requires present needs to be met without undermining future generations.³⁹² In *Vellore Citizens' Welfare Forum*, the Supreme Court recognised this principle as part of Indian law and rejected the idea that development and ecology are opposing goals.³⁹³ *Greenwashing nexus*: greenwashing distorts the information on which consumers, investors and regulators rely. It channels money and trust toward activities presented as sustainable but not actually so, which undermines intergenerational equity.

The Polluter Pays Principle (PPP) requires the party responsible for environmental harm to bear the cost of compensation and restoration. The principle was established

³⁹⁰ *M.C. Mehta v. Kamal Nath*, (1997) 1 SCC 388 (India).

³⁹¹ *Vellore Citizens' Welfare Forum v. Union of India & Ors.*, AIR 1996 SC 2715, (1996) 5 SCC 647 (India).

³⁹² World Comm’n on Env’t & Dev., *Our Common Future* 43 (1987).

³⁹³ *Vellore Citizens' Welfare Forum v. Union of India & Ors.*, AIR 1996 SC 2715, (1996) 5 SCC 647 (India).

in *Indian Council for Enviro-Legal Action v. Union of India*.³⁹⁴ *Greenwashing nexus*: the same logic supports making greenwashers bear the full cost of their deception. If the penalty is lower than the benefit gained from the false claim, the wrongdoer is not truly paying. This supports turnover-based and disgorgement-based penalties.

The Doctrine of Absolute Liability makes enterprises engaged in hazardous or inherently dangerous activity absolutely responsible for ensuring that no harm results from their operations.³⁹⁵ As laid down in *M.C. Mehta v. Union of India* (Oleum Gas Leak Case), compensation must reflect the scale and capacity of the enterprise so that deterrence is real.

The practical force of absolute liability became especially clear after the Bhopal Gas Tragedy. In *Charan Lal Sahu Etc. Etc. v. Union of India and Ors.* (1989)³⁹⁶, the Supreme Court upheld the constitutional validity of the Bhopal Gas Leak Disaster (Processing of Claims) Act, 1985 and accepted the State's role as guardian of victims through *parens patriae* and *dominus litis*. The case did not fully define substantive environmental liability, but it reinforced the State's protective role, helped shape the context for the Environment (Protection) Act, 1986 and gave urgent practical significance to the doctrine articulated in *M.C. Mehta*. *Greenwashing nexus*: in hazardous or high-emission sectors, a company that presents itself as environmentally responsible while causing harm faces not only liability for the harm, but also exposure for the misrepresentation that hides or delays recognition of that harm. The principle's emphasis on deterrent, proportionate liability also shows why flat penalties are inadequate for large enterprises.

Statutory Codification of Environmental Principles

These doctrines first entered Indian law through judicial interpretation, but the National Green Tribunal Act, 2010 gave some of them direct statutory footing by creating the National Green Tribunal as a specialised forum for environmental

³⁹⁴ *Indian Council for Enviro-Legal Action v. Union of India*, (1996) 3 SCC 212 (India).

³⁹⁵ *M.C. Mehta v. Union of India*, (1987) 1 SCC 395 (India).

³⁹⁶ *Charan Lal Sahu v. Union of India*, (1990) 1 SCC 613 (India).

matters.³⁹⁷ For this chapter, Section 20 is especially important because it requires the NGT to apply the principles of sustainable development, precaution and polluter pays.³⁹⁸ This matters because doctrines that began as judge-made standards now operate as express legal commands in a specialised tribunal. In turn, NGT decisions help shape environmental obligations across adjacent regulatory fields, including greenwashing.

5.2 THE REGULATORY ECOSYSTEM FOR GREENWASHING

India responds to greenwashing through a multi-sectoral use of existing statutes. The result is a regulatory structure that reaches misleading environmental claims across several domains, but without a single coherent framework.³⁹⁹ Three bodies have issued working definitions of greenwashing, each shaped by its own mandate:

- CCPA Definition (2024): The Cent. Consumer Prot. Auth. defines greenwashing as any deceptive or misleading practice, including concealing, omitting, or hiding relevant information by exaggerating, making vague, false, or unsubstantiated environmental claims.⁴⁰⁰ This covers misleading words, symbols, or imagery that emphasize positive environmental aspects while downplaying harmful attributes.
- SEBI Definition: SEBI defines greenwashing specifically for green debt securities as “making false, misleading, unsubstantiated, or otherwise incomplete claims”.⁴⁰¹

³⁹⁷ National Green Tribunal Act, 2010, No. 19, Acts of Parliament, §§ 3, 14 (India).

³⁹⁸ National Green Tribunal Act, 2010, No. 19, Acts of Parliament, § 20 (India).

³⁹⁹ S. Malhotra & P. Singh, *Eco-Friendly or Eco-Fraud: Analysing the Indian Regulatory Framework on Greenwashing*, 12 Nat'l L.U. Delhi L. Rev. 45 (2024).

⁴⁰⁰ Cent. Consumer Prot. Auth., *Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims*, Notification No. F. No.-CCPA/28/2023-CCPA (Oct. 15, 2024) (India).

⁴⁰¹ Securities and Exchange Board of India, *Circular on Disclosure Requirements for Issuers of Green Debt Securities*, SEBI/HO/DDHS/DDHS-RAC-1/P/CIR/2023/153 (Sept. 20, 2023).

- **ASCI Definition:** The Advertising Standards Council of India defines greenwashing as unsubstantiated, false, deceptive, or misleading environmental claims that omit or hide information to create false impressions of environmental benefit.⁴⁰²

This definitional fragmentation forces regulators to work with overlapping but non-identical standards. It also makes it harder to distinguish weak ESG reporting from deliberate deception.⁴⁰³

5.2.1 PILLAR 1: CONSUMER PROTECTION REGIME (PRODUCT & ADVERTISING ACCOUNTABILITY)

The first pillar is consumer protection.⁴⁰⁴ The Consumer Protection Act, 2019 (CPA), the Cent. Consumer Prot. Auth. (CCPA), consumer commissions and ASCI's self-regulatory system together address misleading product claims and advertisements.⁴⁰⁵

The CPA 2019 came into force on 20 July 2020, replacing the 1986 law and updating consumer protection for the digital age.⁴⁰⁶ It does not use the term “greenwashing”, but the practice falls comfortably within the Act's rules on unfair trade practices and misleading advertisements.

Relevant Provisions of Consumer Protection Act, 2019:⁴⁰⁷

⁴⁰² Advertising Standards Council of India, *ASCI Guidelines for Advertisements Making Environmental/Green Claims* (effective Feb. 15, 2024), <https://ascionline.in>.

⁴⁰³ S. Malhotra & P. Singh, *Eco-Friendly or Eco-Fraud: Analysing the Indian Regulatory Framework on Greenwashing*, 12 Nat'l L.U. Delhi L. Rev. 45 (2024).

⁴⁰⁴ *Greenwashing in India: Laws, Regulations & Ethics*, Mondaq (Oct. 18, 2024), <https://www.mondaq.com/india/environmental-law> (last visited Aug. 22, 2025).

⁴⁰⁵ Karishma Anklesaria et al., *The Green Mirage: A Conceptual Review of Green Washing in the Indian Context*, Res. Square (Aug. 25, 2025), <https://www.researchgate.net> (last visited Aug. 28, 2025).

⁴⁰⁶ Dep't of Consumer Aff., Gov't of India, *Annual Report 2024-25* (2025), <https://consumeraffairs.nic.in/annual-reports> (last visited Sep. 4, 2025).

⁴⁰⁷ Consumer Protection Act, 2019, No. 35, Acts of Parliament (India).

First, greenwashing can amount to an unfair trade practice under Section 2(47). The definition is broad enough to cover deceptive methods used to promote the sale or use of goods and services, including false claims about environmental benefits.

Second, Section 2(28) deals with misleading advertisements. Greenwashing often takes this form, especially when companies make vague sustainability assertions or unverifiable environmental claims. The Act provides penalties, including imprisonment, for such advertisements.

Third, Section 2(9) protects consumer rights directly relevant to greenwashing, including the right to be informed about the quality, quantity, potency, purity and standards of goods or services and the right to seek redressal against unfair trade practices.

Fourth, the Act prescribes penalties for false and misleading advertisements. For a first offence, the punishment can extend to two years' imprisonment and a fine up to ₹10 lakh. For later offences, it can rise to five years' imprisonment and a fine up to ₹50 lakh.

Fifth, Section 94 recognises the digital marketplace and allows the Central Government to act against unfair trade practices in e-commerce and direct selling, which matters because greenwashing is common on online platforms and product packaging.

Finally, the Act's product liability provisions can also matter where a product does not meet the environmental standard claimed for it, for example if a so-called "compostable" product does not degrade as advertised.

Cent. Consumer Prot. Auth. (CCPA)

The CCPA, operational since 24 July 2020, is the main statutory body for consumer-facing greenwashing. It can prevent unfair trade practices, act against false or misleading advertisements, investigate violations, file complaints or prosecution, order recall or discontinuance and penalise manufacturers, endorsers and publishers.

The CCPA Greenwashing Guidelines, 2024

To target environmental deception directly, the CCPA issued the ‘Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims, 2024’ with effect from 15 October 2024.⁴⁰⁸ The key features are:

- **Definition of Greenwashing:** The Guidelines adopt the definition stated above and expressly cover misleading words, symbols, or imagery that highlight positive environmental aspects while hiding harmful ones.
- **Scope and Applicability:** They apply to environmental claims relating to goods, services, manufacturing, process, packaging, use, or disposal and cover manufacturers, service providers, traders, advertising agencies and endorsers.
- **Mandatory Substantiation:** Environmental claims must be backed by verifiable evidence, such as independent studies or third-party certifications.
- **Regulation of Generic Terms:** Terms such as ‘clean’, ‘green’, ‘eco-friendly’, ‘carbon-neutral’, ‘natural’ and ‘pure’ cannot be used without adequate qualifiers and substantiation.
- **Adequate Disclosures:** Material information must be disclosed in an accessible way, either in the advertisement itself or through a QR code, URL, or similar link.⁴⁰⁹ Cherry-picking favourable data while hiding adverse data is a violation.⁴¹⁰
- **Penalties for Endorsers:** Endorsers can be barred from appearing in advertisements for one to three years.

⁴⁰⁸ Cent. Consumer Prot. Auth., *Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims*, Notification No. F. No.-CCPA/28/2023-CCPA (Oct. 15, 2024) (India).

⁴⁰⁹ S. Malhotra & P. Singh, *Eco-Friendly or Eco-Fraud: Analysing the Indian Regulatory Framework on Greenwashing*, 12 Nat’l L.U. Delhi L. Rev. 45, 45 (2024).

⁴¹⁰ Cent. Consumer Prot. Auth., *Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims*, Notification No. F. No.-CCPA/28/2023-CCPA (Oct. 15, 2024) (India).

Structural Assessment of the CCPA Guidelines

The Guidelines are India's first dedicated anti-greenwashing instrument, but their impact is limited by three structural features.

First, the Guidelines are *administrative directions*, not binding subordinate legislation framed under a specific rule-making power.⁴¹¹ Their force comes indirectly from the CPA 2019 provisions on misleading advertisements and unfair trade practices, read with the CCPA's general powers under Sections 18 and 21, and they have no independent penal machinery.⁴¹² Whether they would survive a serious *ultra vires* challenge has not yet been tested. This is much weaker than instruments such as the EU Green Claims Directive or the Australian Consumer Law, which operate with direct statutory force.

Second, the Guidelines permit “obvious hyperboles” or puffery that do not deceive consumers.⁴¹³ That creates an escape route for the kind of vague green branding now common worldwide. Statements such as “committed to a sustainable future” or “on our journey to net-zero” can be reframed as aspiration rather than misrepresentation. Even the rule on aspirational claims, which asks for “clear, actionable plans”, gives no minimum standard for targets, timelines, budgets, or third-party verification. In practice, that leaves a safe space for weak net-zero and transition narratives.

Third and most importantly for this thesis, the Guidelines regulate the *claim* but not the organisational conditions that produce it. They do not require board-level verification systems, audit committee oversight, internal environmental-claims

⁴¹¹ Cent. Consumer Prot. Auth., *Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims*, Notification No. F. No.-CCPA/28/2023-CCPA (Oct. 15, 2024) (India); Consumer Protection Act, 2019, No. 35, Acts of Parliament, §§ 18, 21, 89 (India).

⁴¹² Cent. Consumer Prot. Auth., *Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims*, Notification No. F. No.-CCPA/28/2023-CCPA (Oct. 15, 2024) (India); Consumer Protection Act, 2019, No. 35, Acts of Parliament, §§ 18, 21, 89 (India).

⁴¹³ Cent. Consumer Prot. Auth., *Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims*, Notification No. F. No.-CCPA/28/2023-CCPA (Oct. 15, 2024) (India); Consumer Protection Act, 2019, No. 35, Acts of Parliament, §§ 18, 21, 89 (India).

compliance, or director certification.⁴¹⁴ A company can therefore produce a claim first and assemble support later. That leaves the governance vacuum untouched.

CCPA's Regulatory Activity

CCPA acts mainly through complaint-led consumer-protection processes, including complaints received through the National Consumer Helpline, and through referral-based coordination with ASCI when potentially non-compliant advertisements are identified.⁴¹⁵⁴¹⁶ ASCI's own environmental claims guidelines, issued in February 2024, broadly align with the CCPA framework.⁴¹⁷

The Supreme Court adopted an interventionist approach in *Indian Medical Association & Anr. v. Union of India & Ors.* (WP(C) No. 645/2022). By order dated 7 May 2024, it required advertisers and advertising agencies to submit a Self-Declaration Certificate (SDC) before publishing or broadcasting advertisements, certifying that the advertisement was not misleading and complied with applicable rules and guidelines.⁴¹⁸ The Ministry of Information and Broadcasting operationalised this through the Broadcast Seva Portal and the Press Council of India's portal, with effect from 18 June 2024.⁴¹⁹

⁴¹⁴ Cent. Consumer Prot. Auth., *Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims*, Notification No. F. No.-CCPA/28/2023-CCPA (Oct. 15, 2024) (India); Consumer Protection Act, 2019, No. 35, Acts of Parliament, §§ 18, 21, 89 (India).

⁴¹⁵ Dep't of Consumer Aff., Gov't of India, *Annual Report 2024-25* (2025), <https://consumeraffairs.nic.in/annual-reports> (last visited Sep. 4, 2025).

⁴¹⁶ Dep't of Consumer Aff. & Advert. Standards Council of India, *CCPA and ASCI Join Hands to Strengthen Advertising Regulation in India* (Mar. 26, 2024), <https://www.ascionline.in/wp-content/uploads/2024/03/CCPA-ASCI-Press-release.pdf> (announcing that advertisements identified by ASCI as potentially violating the law may be forwarded to the CCPA).

⁴¹⁷ Advertising Standards Council of India, *ASCI Guidelines for Advertisements Making Environmental/Green Claims* (effective Feb. 15, 2024), <https://ascionline.in>.

⁴¹⁸ *Indian Med. Ass'n & Anr. v. Union of India & Ors.*, W.P.(C) No. 645/2022, order dated May 7, 2024 (India); Press Info. Bureau, Ministry of Info. & Broad., *Supreme Court Mandates Self-Declaration by Advertisers/ Advertising Agencies Before Releasing Advertisements* (June 3, 2024), <https://pib.gov.in/PressReleaseIframePage.aspx?PRID=2022649>.

⁴¹⁹ *Indian Med. Ass'n & Anr. v. Union of India & Ors.*, W.P.(C) No. 645/2022, order dated May 7, 2024 (India); Press Info. Bureau, Ministry of Info. & Broad., *Supreme Court Mandates Self-Declaration by Advertisers/ Advertising Agencies Before Releasing Advertisements* (June 3, 2024), <https://pib.gov.in/PressReleaseIframePage.aspx?PRID=2022649>.

Within weeks, however, the directive was narrowed. In a fresh advisory dated 3 July 2024, MIB limited mandatory SDCs to food and health advertisements and shifted from per-advertisement filings to an annual cycle.⁴²⁰ This move reduced what had been framed as a universal pre-publication safeguard, and its effect on environmental claims is examined further in Section 5.4.2.

Consumer Disputes Redressal Commissions

Alongside the CCPA, the CPA 2019 provides a three-tier redressal system through District, State and National Commissions. Procedural features such as e-filing and video hearings lower access costs.⁴²¹ That design supports complaint-driven action against misleading environmental claims.⁴²²

Advertising Standards Council of India (ASCI)

The Advertising Standards Council of India (ASCI) is a voluntary self-regulatory body established in 1985 and registered as a Section 8 company.⁴²³ It is not a statutory authority, but it still matters because environmental claims frequently appear in advertising.

ASCI lays down self-regulatory norms aimed at transparency and accountability across advertising media in India.⁴²⁴ Its decisions are not directly enforceable like those of the CCPA or SEBI, but they often lead to modification or withdrawal of

⁴²⁰ Parag Singhal, *Submission of Self-Declaration Certificate by Advertisers: MIB's Revised Advisory*, Ahlawat & Assocs. (July 5, 2024), <https://www.ahlawatassociates.com/news/mib-revised-advisory-for-advertisers> (summarizing MIB's July 3, 2024 advisory limiting the self-declaration requirement to food and health-sector advertisements and shifting to annual filing).

⁴²¹ Dep't of Consumer Aff., Gov't of India, *Annual Report 2024-25* (2025), <https://consumeraffairs.nic.in/annual-reports> (last visited Sep. 4, 2025).

⁴²² *The Regulatory Landscape of Greenwashing in India: A Legal Perspective*, 5(2) Int'l J. Adv. Legal Res. (2024).

⁴²³ Advertising Standards Council of India, *About ASCI*, <https://ascionline.in/index.php/about-asci> (last visited Sep. 7, 2025) (describing ASCI as India's voluntary advertising self-regulatory body founded in 1985); see also Ministry of Corporate Affairs, Gov't of India, Company/LLP Master Data for Advertising Standards Council of India (identifying ASCI as a section 8 company).

⁴²⁴ *Greenwashing in India: Laws, Regulations & Ethics*, Mondaq (Oct. 18, 2024), <https://www.mondaq.com/india/environmental-law> (last visited Aug. 22, 2025).

advertisements. Its referral mechanism with the CCPA also gives its findings indirect statutory importance.

ASCI's central objective is to require advertisers to substantiate claims, including environmental claims, with transparent factual support. That role has become more important as greenwashing has spread.

Its role was strengthened when the Department of Consumer Affairs and ASCI stated, in a joint press release dated 26 March 2024, that advertisements identified by ASCI as potentially violating the law could be forwarded to the CCPA.⁴²⁵ This ties self-regulation to formal enforcement.

ASCI Guidelines for Environmental/Green Claims (Effective February 15, 2024)

Recognising the complexity of environmental claims, ASCI issued its dedicated Guidelines for Advertisements Making Environmental/Green Claims with effect from 15 February 2024. These guidelines aim to ensure that environmental claims are clear, truthful and evidence-based.

The guidelines focus on truthfulness, clarity, substantiation and presentation. They define environmental claims broadly, covering express or implied claims across the whole advertisement. Absolute claims such as “eco-friendly” or “sustainable” must be supported by strong data or credible accreditations and cannot be rescued through disclaimers, QR codes, or website links. Comparative claims such as “greener” must clearly state the basis of comparison and be backed by evidence. General environmental claims should ordinarily reflect the product's full life cycle unless limits are clearly stated. Advertisers cannot claim advantage based on the absence of substances not usually found in competing products, or based merely on legal compliance. The guidelines also regulate visuals, endorsements, seals of approval and

⁴²⁵ Dep't of Consumer Aff. & Advert. Standards Council of India, *CCPA and ASCI Join Hands to Strengthen Advertising Regulation in India* (Mar. 26, 2024), <https://www.ascionline.in/wp-content/uploads/2024/03/CCPA-ASCI-Press-release.pdf> (announcing that advertisements identified by ASCI as potentially violating the law may be forwarded to the CCPA).

aspirational claims. For carbon offsets, where the offset will not materialise within two years, that fact must be prominently disclosed.⁴²⁶

ASCI Enforcement: Structural Limits of Self-Regulation

ASCI's record matters less for any single statistic than for what it shows about the limits of self-regulation. Three points are central.

First, ASCI's findings are non-binding. It can seek modification or withdrawal of an advertisement, but it cannot compel compliance, impose fines, or order corrective advertising. The referral pathway to the CCPA helps, but it remains discretionary and depends on coordination that is not automatic.

Second, ASCI's review is reactive and sample-based. It deals with complaints or matters it takes up on its own, not the full universe of claims in the market. Even an active self-regulator cannot become a full surveillance system under this design.

Third, the main consequence of an adverse ASCI finding is usually modification or withdrawal of the advertisement. That remedy is often far smaller than the commercial benefit of the green claim. A company can therefore treat non-compliance as a manageable reputational issue rather than a serious legal risk.

ASCI thus operates mainly as a screening mechanism. It can identify problematic claims and feed them into the CCPA pipeline, but its effectiveness remains limited by the structural weaknesses noted above.

Illustrative Early Green-Claim Disputes in India

Even in the absence of fully verifiable primary records for each early dispute, later Indian commentary consistently points to a familiar pattern.⁴²⁷ It refers to controversies over mosquito-repellent advertising described as “natural” or “chemical-free,” detergent advertising presented as environmentally benign, air-

⁴²⁶ Advertising Standards Council of India, *ASCI Guidelines for Advertisements Making Environmental/Green Claims* (effective Feb. 15, 2024), <https://ascionline.in>.

⁴²⁷ S. Malhotra & P. Singh, *Eco-Friendly or Eco-Fraud: Analysing the Indian Regulatory Framework on Greenwashing*, 12 Nat'l L.U. Delhi L. Rev. 45 (2024) (describing the pre-2024 Indian position as fragmented and showing how misleading environmental advertising had already become a live doctrinal concern before the dedicated CCPA and ASCI green-claim instruments).

conditioner promotions using energy-efficiency and “eco-friendly” language and soap advertising framed as “natural” or biodegradable.⁴²⁸

The publicly available records do not allow confident reconstruction of the exact forum, procedure, outcome, or sanction in each instance. They are therefore better treated as literature-based illustrations of recurring claim-types, not as fully verified enforcement precedents. Even so, they remain useful for one limited point: concern about vague, absolute, or loosely substantiated environmental claims in Indian advertising was already visible in Indian legal commentary.⁴²⁹ That concern long predates both the CCPA Guidelines and ASCI’s 2024 green-claims code.⁴³⁰

5.2.2 PILLAR 2: SECURITIES & FINANCE REGIME (CAPITAL MARKET ACCOUNTABILITY)

The second pillar is capital-market regulation. SEBI protects investors and regulates capital markets, so its greenwashing framework targets disclosures and sustainable finance instruments rather than product packaging.⁴³¹ Its function is to prevent investors from being misled about sustainability performance and use of funds. That architecture grew out of SEBI’s broader reporting-reform effort to improve the

⁴²⁸ Institute of Company Secretaries of India (ICSI), *Green to Greed: Unravelling Corporate Deception* (2024), https://www.icsi.edu/media/webmodules/CSJ/April_24/23.pdf (last visited Sep. 10, 2025) (discussing Indian greenwashing through advertising examples and recurring claim-patterns in consumer markets).

⁴²⁹ *The Regulatory Landscape of Greenwashing in India: A Legal Perspective*, 5(2) Int’l J. Adv. Legal Res. (2024) (surveying Indian greenwashing disputes and regulatory gaps through examples drawn from consumer advertising and product claims).

⁴³⁰ *Greenwashing in India: Laws, Regulations & Ethics*, Mondaq (Oct. 18, 2024), <https://www.mondaq.com/india/environmental-law> (last visited Aug. 22, 2025); see also Institute of Company Secretaries of India (ICSI), *Green to Greed: Unravelling Corporate Deception* (2024), https://www.icsi.edu/media/webmodules/CSJ/April_24/23.pdf (last visited Sep. 10, 2025) (discussing Indian greenwashing through advertising examples and recurring claim-patterns in consumer markets).

⁴³¹ SEBI, *Annual Report 2024-25* (2025), <https://www.sebi.gov.in/reports-and-statistics/annual-reports.html> (last visited Sep. 17, 2025).

reliability and standardisation of business responsibility disclosures.⁴³² But later relaxations have weakened some of the safeguards built for that purpose.⁴³³

SEBI's anti-greenwashing architecture has four parts. First, the Business Responsibility and Sustainability Reporting (BRSR) framework requires standardised ESG disclosure by listed companies. Second, BRSR Core adds value-chain and assurance requirements to reduce selective disclosure. Third, SEBI regulates ESG-labelled debt securities to address "purpose-washing" in sustainable finance. Fourth, ESG Rating Providers (ERPs) and the PFUTP framework supply external validation and enforcement.

The Evolution and Architecture of BRSR

India moved toward mandatory sustainability disclosure in stages. Voluntary CSR guidelines appeared in 2009, followed by the National Voluntary Guidelines in 2011. SEBI then required Business Responsibility Reports (BRR) from the top 100 listed companies in 2012, later extending that to the top 500 and then the top 1000 by market capitalisation.⁴³⁴ The BRR model, however, remained weak: it relied heavily on self-assessment and lacked enough standardisation, making disclosures inconsistent and easy to shape strategically.

To address these weaknesses, SEBI introduced BRSR in 2021 and made it mandatory for the top 1000 listed companies from FY 2022-23 onwards.⁴³⁵ The framework aligns

⁴³² *Report of the Committee on Business Responsibility Reporting* (Gyaneshwar Kumar Singh, Chair) (Aug. 11, 2020).

⁴³³ *Navigating ESG Compliance: Lessons from Recent Trends and the Santos Case*, Dispute Resol. Blog (2024).

⁴³⁴ Ministry of Corp. Aff., *National Guidelines on Responsible Business Conduct* (Mar. 15, 2019) (India); see also Ministry of Corporate Affairs, Government of India, *Corporate Social Responsibility Voluntary Guidelines, 2009*; see also Ministry of Corporate Affairs, Government of India, *National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business* (July 2011), https://www.mca.gov.in/Ministry/latestnews/National_Voluntary_Guidelines_2011_12jul2011.pdf; see also SEBI, Circular on Business Responsibility Reports, Circular No. CIR/CFD/DIL/8/2012 (Aug. 13, 2012), https://www.sebi.gov.in/legal/circulars/aug-2012/business-responsibility-reports_23245.html (last visited Sep. 19, 2025).

⁴³⁵ SEBI, Circular on Business Responsibility and Sustainability Reporting, Circular No. SEBI/HO/CFD/CMD-2/P/CIR/2021/562 (May 10, 2021),

with the National Guidelines on Responsible Business Conduct and is organised into three parts: Section A for general operational and financial disclosures, Section B for governance and management processes linked to the NGRBC principles⁴³⁶ and Section C for principle-wise performance metrics. By using ‘Essential’ and ‘Leadership’ indicators in a standard format, BRSR improves comparability and makes ESG reporting more structured.⁴³⁷

SEBI built on this with BRSR Core in July 2023, focusing on nine material ESG attributes. In December 2024, it approved implementation decisions and issued Industry Standards on Reporting of BRSR Core through the Industry Standards Forum in consultation with SEBI.⁴³⁸ Mandatory from FY 2024-25, these standards require more precise, intensity-based calculations for indicators such as GHG emissions, water use, energy use and waste. Companies must disclose conversion rates and emission factors, reducing dependence on opaque spend-based methods. A leadership indicator under Principle 6 also encourages disclosure of green credits generated or procured by entities and their top value-chain partners.

SEBI also introduced third-party verification, though in softened form, by using the phrase “assessment or assurance” under the LODR Regulations, with “assessment” defined as third-party evaluation based on ISF standards. The top 150 listed entities face mandatory adequate assurance on BRSR Core disclosures, intended to improve confidence in ESG reporting and reduce selective disclosure.

Even so, four design weaknesses limit BRSR’s ability to prevent greenwashing. First, it follows single, financial materiality rather than double materiality, so companies need not fully report their own environmental impact unless it affects financial

https://www.sebi.gov.in/legal/circulars/may-2021/business-responsibility-and-sustainability-reporting-by-listed-entities_50096.html (last visited Sep. 21, 2025).

⁴³⁶ *Report of the Committee on Business Responsibility Reporting* (Gyaneshwar Kumar Singh, Chair) (Aug. 11, 2020).

⁴³⁷ EY & Indian Chamber of Com., *Business Responsibility and Sustainability Reporting (BRSR): The Evolution of Sustainability Reporting in India* (2023).

⁴³⁸ *Redefining ESG Reporting: SEBI Introduces Standard-Backed BRSR Core Reporting*, ESG360 (2024).

performance. Second, it uses a largely uniform template across sectors, which lets high-impact industries emphasise easier metrics while omitting sector-critical ones. Third, it requires GHG disclosure but does not insist on a single accounting methodology, which weakens comparability. Fourth, BRSR Core is being rolled out in phases, so most listed entities still operate without meaningful third-party review. For a large part of the market, ESG data therefore remains effectively self-certified.

The promise of stronger ESG reporting has also been weakened by later changes to value-chain requirements.⁴³⁹ SEBI deferred value-chain disclosures by one year, pushed related “assessment or assurance” requirements to FY 2026-27, shifted interim reporting from ‘comply-or-explain’ to voluntary and limited future mandatory disclosure to partners contributing at least two per cent of purchases and sales, subject to a 75 per cent cap. Along with the extension of ERP review timelines from 10 to 45 days and the softer approach to assurance announced in late 2024 and early 2025, these changes amount to regulatory backsliding in favour of compliance convenience over investor protection.⁴⁴⁰ Their broader significance is examined in Section 5.4.4.

Regulation of ESG-Labelled Debt Securities

SEBI also had to address a different problem: capital raised under an ESG label but used with little discipline.

SEBI widened the sustainable-finance framework by allowing social bonds, sustainability bonds and sustainability-linked bonds in addition to green debt securities, bringing them together as ESG debt securities. To address the risk of “purpose-washing”, it required disclosures, anti-misuse measures and mechanisms to keep securities “True to Label”. In February 2023, SEBI also issued circulars on green

⁴³⁹ SEBI, Board Decision December 2024, formalized via Circular No. SEBI/HO/CFD/CFD-SEC-2/P/CIR/2025/11 (Mar. 28, 2025), <https://www.sebi.gov.in/legal/circulars/mar-2025> (last visited Sep. 22, 2025).

⁴⁴⁰ SEBI, Circular on Regulatory Relaxations for Ease of Doing Business, Circular No. SEBI/HO/DDHS/DDHS-RACPOD1/P/CIR/2025/5 (Jan. 17, 2025), <https://www.sebi.gov.in/legal/circulars/jan-2025> (last visited Sep. 23, 2025).

debt securities requiring clear green-classification criteria, fund-tracing processes and third-party verification.

On 5 June 2025, SEBI introduced a fuller framework for ESG-labelled debt securities, formally covering social bonds, sustainability bonds and sustainability-linked bonds. This closed an important gap because green bonds had been regulated since 2017, but other ESG debt instruments had not. The 2025 framework rests on five pillars: clear definitions for each bond type, mandatory alignment with recognised international standards, detailed pre- and post-issuance disclosures, compulsory third-party verification with public reporting and investor-protection measures such as early redemption rights for material ESG commitment breaches, along with PFUTP exposure for false claims. Important gaps still remain, including no minimum competence standards for verifiers, no alignment with the May 2025 Green Taxonomy, limited penalty detail and application only to post-June 2025 issuances.⁴⁴¹

Enforcement and External Validation

Disclosure rules are only half the story. SEBI's enforcement powers supply the punitive edge needed to deter deliberate deception. In this setting, greenwashing increasingly looks like “green collar crime”: financial fraud dressed in environmental language. SEBI investigates misstatements capable of affecting security prices under the SEBI Act, the LODR Regulations and the PFUTP Regulations.

Regulatory activity in this area has been substantial. During FY 2024-25, SEBI concluded 55 cases involving financial misstatements, initiated PFUTP proceedings against 155 entities and passed adjudication orders against 239 entities with aggregate penalties of ₹28.2 crore.⁴⁴² In its April 2025 interim order against Gensol Engineering, SEBI recorded prima facie findings of fraudulent diversion of company funds, weak

⁴⁴¹ SEBI, *Regulatory Framework for Issuance and Listing of ESG Debt Securities*, Circular No. SEBI/HO/DDHS/RACPOD1/P/CIR/2025/95 (June 5, 2025), https://www.sebi.gov.in/legal/circulars/jun-2025/regulatory-framework-for-issuance-and-listing-of-esg-debt-securities_95058.html (last visited Sep. 24, 2025).

⁴⁴² SEBI, *Annual Report 2024-25* (2025), <https://www.sebi.gov.in/reports-and-statistics/annual-reports.html> (last visited Sep. 17, 2025).

internal controls and rerouting of ring-fenced borrowings.⁴⁴³ The episode shows SEBI's willingness to probe governance and fund-use misconduct even where the wider enterprise was publicly associated with clean-mobility claims.

Importantly, SEBI officials themselves have acknowledged continuing ESG misrepresentation. At the FICCI ESG Summit in January 2025, SEBI Whole Time Member Amarjeet Singh pointed to examples such as a company claiming “no significant impact on the environment” while facing environmental litigation and an automobile company claiming recycled input use without corresponding plastic data.⁴⁴⁴ These official observations confirm that greenwashing in ESG disclosures is not speculative; it is a recognised enforcement problem.

SEBI also regulates ESG Rating Providers through activity-based rules. But the ERP regime has two structural weaknesses. First, there are no minimum competence requirements for analysts in areas such as environmental science, climate measurement, or GHG verification. Second, methodology disclosure is only required in a general form, without detailed factor weightings or data-quality explanations. As a result, the same company may receive sharply divergent ratings from different providers with little transparency for investors. That opacity can enable greenwashing rather than expose it.

5.2.3 PILLAR 3: CORPORATE GOVERNANCE REGIME (BOARD & MCA ACCOUNTABILITY)

The third pillar is corporate governance. It operates through the Ministry of Corporate Affairs (MCA) and the Companies Act, 2013 and focuses not on the public claim alone, but on who approved it inside the company: the board of directors.

⁴⁴³ SEBI, *Interim Order in the Matter of Gensol Engineering Limited* (Apr. 15, 2025), https://www.sebi.gov.in/enforcement/orders/apr-2025/interim-order-in-the-matter-of-gensol-engineering-limited_93458.html; see also *Gensol Engineering Promoters Quit After Sebi Order on Fund Diversion*, *Bus. Standard* (May 12, 2025), https://www.business-standard.com/companies/news/gensol-engineering-promoters-quit-after-sebi-order-on-fund-diversion-125051201068_1.html.

⁴⁴⁴ Amarjeet Singh, Whole Time Member, SEBI, Address at the FICCI ESG Summit (Jan. 2025) (reporting specific instances of inadequate BRSR disclosures by manufacturing, automobile, and oil-and-gas companies).

The Statutory Framework: Section 166(2) and India’s Stakeholder Model

Section 166(2) of the Companies Act, 2013 requires directors to act in good faith to promote the company’s objectives “in the best interests of the company, its employees, the shareholders, the community and for the protection of environment”.⁴⁴⁵ This is the central corporate-law provision for environmental accountability in India. Its meaning matters directly for greenwashing because it helps determine whether false environmental claims are only a communications problem or also a breach of board-level duty.

Textual Analysis: The Meaning of the Words

The phrase “for the protection of environment” appears as a final conjunctive part of the list of interests directors must serve. Three points matter. First, the use of “and” places environmental protection on the same textual plane as duties to the company, employees, shareholders and community.⁴⁴⁶ Second, the phrase refers to “the environment” generally, not just the company’s own immediate footprint. Third, the word “protection” suggests an active obligation, not merely a duty to avoid causing harm.

The Companies Act does not define “environment”. Applying *noscitur a sociis*, the word appears next to “community”, suggesting a broad ecological context. More importantly, the Supreme Court in *M.K. Ranjitsinh & Ors. v. Union of India* held that Section 166(2) should be read with Section 2(a) of the Environment (Protection) Act, 1986,⁴⁴⁷ which defines environment broadly to include the inter-relationship among water, air, land, human beings, living creatures, plants, micro-organisms and

⁴⁴⁵ Companies Act, 2013, No. 18, § 166(2), Acts of Parliament (India); *see also* Dr. G.K. Kapoor & Dr. Sanjay Dhamija, *Taxmann’s Company Law & Practice – A Comprehensive Textbook on the Companies Act 2013* (28th ed., 2024); *see also* Taxmann’s Editorial Board, *Taxmann’s Company Law Manual – A Compendium of the Companies Act 2013 Along with Relevant Rules, Circulars, Notifications & Secretarial Standards* (24th ed., 2025).

⁴⁴⁶ Mihir Naniwadekar & Umakanth Varottil, *The Stakeholder Approach Towards Directors’ Duties Under Indian Company Law: A Comparative Analysis*, in *The Indian Yearbook of Comparative Law* 2016 95 (M.P. Singh ed., 2017).

⁴⁴⁷ *M.K. Ranjitsinh & Ors. v. Union of India & Ors.*, (2021) 18 SCC 380, ¶¶ 39–42 (India).

property.⁴⁴⁸ This reading is wide enough to cover climate impacts, biodiversity loss and the truthfulness of environmental claims.

Contextual Analysis: Section 166(2) Within the Statutory Scheme

Section 166(2) must be read with related provisions. Section 166(1) ties directors' duties to the company's articles.⁴⁴⁹ Section 166(3) requires directors to exercise due and reasonable care, skill and diligence and to exercise independent judgment, which is inconsistent with rubber-stamping weakly verified environmental claims.⁴⁵⁰ Section 166(4) bars conflict situations and Section 166(5) prohibits directors from seeking undue gain or advantage, both of which become relevant where greenwashing produces commercial benefit through deception.⁴⁵¹

Section 166(7), however, provides only a fine of ₹1 lakh to ₹5 lakh for contravention.⁴⁵² This is modest when compared with the wider punitive structure of the Act. Section 447 provides imprisonment and fines up to three times the fraud amount for conduct involving intent to deceive or gain undue advantage.⁴⁵³ Environmental misstatements made to attract investment or public goodwill could, in principle, fall within this wider fraud framework. Section 339 may also expose officers to liability for fraudulent trading.⁴⁵⁴

⁴⁴⁸ Environment (Protection) Act, 1986, No. 29, § 2(a), Acts of Parliament (India).

⁴⁴⁹ Companies Act, 2013, No. 18, Acts of Parliament, § 166(1) (India) ("A director of a company shall act in accordance with the articles of the company.").

⁴⁵⁰ Companies Act, 2013, No. 18, Acts of Parliament, § 166(3) (India) (requiring directors to exercise duties with due and reasonable care, skill, and diligence and to exercise independent judgment).

⁴⁵¹ Companies Act, 2013, No. 18, Acts of Parliament, §§ 166(4)-(5) (India) (barring directors from entering conflict situations and from achieving undue gain or advantage for themselves or related persons).

⁴⁵² Companies Act, 2013, No. 18, Acts of Parliament, § 166(7) (India) ("If a director of the company contravenes the provisions of this section, such director shall be punishable with fine which shall not be less than one lakh rupees but which may extend to five lakh rupees.").

⁴⁵³ Companies Act, 2013, No. 18, Acts of Parliament, § 447 & Explanation (India).

⁴⁵⁴ Companies Act, 2013, No. 18, Acts of Parliament, § 339 (India) (liability for fraudulent conduct of business).

Sections 134 and 135 create adjacent accountability mechanisms through board reporting, risk management and CSR obligations. After the Supreme Court's 2025 holding in *M.K. Ranjitsinh* that CSR includes Corporate Environmental Responsibility⁴⁵⁵, Section 166(2) is better understood as part of an integrated scheme rather than an isolated clause.

Sections 241-244 on oppression and mismanagement also provide remedial pathways.⁴⁵⁶ Shareholders could rely on them where misleading environmental claims expose the company to reputational harm, penalties, or litigation.

Purposive Analysis: Parliament's Objective

The inclusion of "protection of environment" in Section 166(2) was deliberate. The Companies Act, 1956 had no equivalent duty and the 2013 Act followed broader reform efforts, including the recommendations of the Dr. J.J. Irani Expert Committee, to modernise corporate governance around wider stakeholder responsibilities.⁴⁵⁷ The simultaneous introduction of Section 135 and the 2011 National Voluntary Guidelines also supports the view that Parliament intended sustainability to be built into corporate law itself.⁴⁵⁸

This legislative purpose is hard to reconcile with treating Section 166(2)'s environmental limb as merely aspirational. If Parliament intended only guidance, it would not have placed the duty in the operative section for directors' duties with a penalty under Section 166(7). At the same time, the low penalty level suggests

⁴⁵⁵ *M.K. Ranjitsinh & Ors. v. Union of India & Ors.*, 2025 INSC 1472, ¶¶ 25–32 (India).

⁴⁵⁶ Companies Act, 2013, No. 18, Acts of Parliament, §§ 241-244 (India) (oppression and mismanagement).

⁴⁵⁷ Ministry of Corporate Affairs, Government of India, *Report of the Expert Committee on Company Law* (J.J. Irani Committee) (May 31, 2005), https://www.mca.gov.in/Ministry/latestnews/Expert_Committee_Report.pdf; see also Press Information Bureau, Government of India, *J.J. Irani Expert Committee Submits Report* (May 31, 2005), <https://pib.gov.in/newsite/erelease.aspx?relid=9322>.

⁴⁵⁸ Ministry of Corporate Affairs, Government of India, *National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business* (July 2011), https://www.mca.gov.in/Ministry/latestnews/National_Voluntary_Guidelines_2011_12jul2011.pdf.

Parliament did not design the provision with serious environmental fraud or greenwashing in mind.

Comparative Analysis: How Similar Provisions Have Been Interpreted Elsewhere

Section 166(2) follows a stakeholder model that places environmental protection alongside shareholder interests without express hierarchy. This is stronger, textually, than the UK's "enlightened shareholder value" model in Section 172 of the UK Companies Act 2006, where environmental concerns are factors directors must "have regard to" while promoting the company's success for its members as a whole.⁴⁵⁹ In Indian wording, environmental protection is not expressly subordinated to shareholder value.

But the UK pairs its weaker substantive duty with much stronger enforcement. The FCA can impose major penalties for misleading sustainability disclosures and courts can disqualify directors. India has the opposite problem: broader duty, weaker enforcement. The gap is therefore institutional as much as textual.

Judicial Interpretation of Section 166(2): The Evolving Jurisprudence

Two Supreme Court decisions have clarified the scope of Section 166(2)'s environmental duty and moved it from a broad but uncertain text toward a more usable doctrinal framework.

Tata Consultancy Services Ltd v. Cyrus Investments Pvt Ltd & Ors (Tata-Mistry, 2021): Although the dispute concerned oppression and mismanagement, the Supreme Court gave Section 166 significant interpretive weight. It treated Section 166(2) as creating three distinct fiduciary duties: to promote the company's objects for the benefit of members as a whole; to act in the best interests of the company, employees, shareholders and community; and to protect the environment.⁴⁶⁰ That matters because

⁴⁵⁹ Companies Act 2006, c. 46, § 172 (UK).

⁴⁶⁰ *Tata Consultancy Services Ltd. v. Cyrus Investments Pvt. Ltd.*, (2021) 9 SCC 449, ¶ 19.30 (India).

it recognises environmental protection as a freestanding limb of directors' duties, not merely a sub-part of community welfare.

M.K. Ranjitsinh & Ors. v. Union of India (the "Bustard case"): This litigation gives the strongest judicial interpretation of Section 166(2). In its April 2021 order, the Court referred expressly to Section 166(2) and held that "environment" in the provision must be read with Section 2(a) of the Environment (Protection) Act, 1986.⁴⁶¹ That resolved the ambiguity by importing the EPA's wide definition.

Three further holdings matter. First, the Court treated the provision as part of a stakeholder model in which environmental duties stand on the same plane as other recognised interests. Second, it held that financial considerations cannot override the need to prevent serious ecological harm, implying that directors cannot always defend inaction by pointing to cost. Third, in the 2025 final judgment, the Court held that CSR under Section 135 must be read with Article 51A(g) and Section 166(2) and that CSR includes Corporate Environmental Responsibility.

Taken together, *Tata-Mistry* and *M.K. Ranjitsinh* support four propositions: environmental protection is an independent limb of directors' duties; "environment" carries the broad EPA meaning; directors cannot simply subordinate environmental duties to financial convenience; and CSR includes environmental responsibility. Section 166(2) is therefore no longer a purely symbolic provision⁴⁶², even if its enforcement remains weak.

The Justiciability Question: Is the Environmental Duty Enforceable?

Whether Section 166(2)'s environmental limb is enforceable, rather than merely aspirational, is the harder question. Three points support enforceability. Section 166(7) attaches a penalty. The Supreme Court treated Section 166(2) in *M.K.*

⁴⁶¹ *M.K. Ranjitsinh & Ors. v. Union of India & Ors.*, (2021) 18 SCC 380, ¶¶ 39–42 (India).

⁴⁶² See, e.g., Umakanth Varottil, *The Stakeholder Approach to Directors' Duties Under Indian Company Law*, in *Comparative Corporate Governance* 141, 159 (Mathias Siems & David Cabrelli eds., 2018) (describing the environmental limb of Section 166(2) as largely unenforceable in practice).

Ranjitsinh as an operative duty. And Sections 241-244 provide procedural pathways through which breaches of directors' duties can reach the NCLT.

Standing is the real obstacle. Unlike consumer or securities law, the Companies Act does not identify a clear class of persons who can enforce the environmental limb directly. Shareholders may proceed derivatively, but the remedy belongs to the company. Communities and NGOs lack explicit standing under the Act.⁴⁶³ The NGT cannot fill this gap because the Companies Act is not part of Schedule I to the NGT Act.⁴⁶⁴ So a substantive duty exists without a clearly empowered enforcer. This appears to be a genuine legislative gap rather than a deliberate choice to make the duty unenforceable.⁴⁶⁵

Board Governance Mechanisms and ESG Integration

Beyond Section 166(2), the governance framework contains several mechanisms that can bring sustainability into board-level decision-making. Section 135 introduced mandatory CSR spending for qualifying companies.⁴⁶⁶ Although CSR is mainly about expenditure rather than claim verification, it reinforces the idea that corporate duties extend beyond shareholder returns.

For listed companies, the LODR Regulations require independent directors, audit committees and stakeholder committees. The BRSR framework also requires board-

⁴⁶³ See Umakanth Varottil, *The Stakeholder Approach to Directors' Duties Under Indian Company Law*, in *Comparative Corporate Governance* 141, 155-59 (Mathias Siems & David Cabrelli eds., 2018) (noting the absence of standing for non-shareholder stakeholders to enforce Section 166(2) duties).

⁴⁶⁴ National Green Tribunal Act, 2010, No. 19, Acts of Parliament, § 14 & Schedule I (India). Schedule I lists seven statutes: The Water (Prevention and Control of Pollution) Act, 1974; The Water (Prevention and Control of Pollution) Cess Act, 1977; The Forest (Conservation) Act, 1980; The Air (Prevention and Control of Pollution) Act, 1981; The Environment (Protection) Act, 1986; The Public Liability Insurance Act, 1991; and The Biological Diversity Act, 2002. The Companies Act, 2013 is not included.

⁴⁶⁵ See Mihir Naniwadekar & Umakanth Varottil, *The Stakeholder Approach Towards Directors' Duties Under Indian Company Law: A Comparative Analysis*, in *The Indian Yearbook of Comparative Law 2016*, at 95, 112-16 (M.P. Singh ed., 2017) (noting that Parliament's focus was on codifying general fiduciary duties rather than creating a comprehensive environmental enforcement architecture).

⁴⁶⁶ Companies Act, 2013, No. 18, § 135, Acts of Parliament (India).

level sign-off on sustainability disclosures,⁴⁶⁷ at least in theory creating accountability for ESG data. The 2024 Parliamentary Standing Committee on Finance recommended mandatory board-level ESG or sustainability committees for large companies, with independent directors who have environmental or sustainability expertise.⁴⁶⁸

Recent scholarship links some board characteristics with better ESG outcomes. Board diversity, especially gender diversity, is associated with better ESG performance and disclosure quality.⁴⁶⁹ Findings on board independence are mixed, though audit committee independence appears to improve transparency.⁴⁷⁰ CEO duality has been linked to weaker ESG performance, suggesting that separating the roles may strengthen environmental governance.⁴⁷¹

The Business Judgment Rule and Director Discretion

The business judgment rule is an important limit on director accountability. Borrowed from Delaware law and used in Indian jurisprudence, it gives directors wide decision-making space and presumes they acted on an informed basis and in good faith.⁴⁷² Courts are therefore often reluctant to second-guess business decisions, including those with environmental consequences, if directors can show reasonable care.

For greenwashing, this means a board may argue that it approved a claim in good faith based on available information, even if the underlying verification was weak.

⁴⁶⁷ SEBI, Circular on Business Responsibility and Sustainability Reporting, Circular No. SEBI/HO/CFD/CMD-2/P/CIR/2021/562 (May 10, 2021), https://www.sebi.gov.in/legal/circulars/may-2021/business-responsibility-and-sustainability-reporting-by-listed-entities_50096.html (last visited Sep. 21, 2025).

⁴⁶⁸ Parliamentary Standing Comm. on Fin., Gov't of India, *Tenth Report on Demands for Grants (2025-26) of the Ministry of Corporate Affairs* (2025).

⁴⁶⁹ Sonal Pareek et al., *Gender Diversity and Corporate Sustainability Performance: Empirical Evidence from India*, 20 Vilakshan: XIMB J. Mgmt. 204 (2023).

⁴⁷⁰ P. Kumar & N. Prakash, *Board Independence, Gender Diversity and Environmental Disclosure: Evidence from Indian Listed Firms*, 10 Int'l J. Bus. Ethics & Governance 1 (2019).

⁴⁷¹ S. Velankar et al., *Corporate Board Structure and ESG Performance: An Empirical Study of Listed Firms in the Emerging Market*, 15 Corp. Board: Role, Duties & Composition 8 (2019).

⁴⁷² The business judgment rule has been recognized by Indian courts as a principle protecting directors from liability for decisions made in good faith. *See, e.g., Miheer H. Mafatlal v. Mafatlal Indus. Ltd.*, (1997) 1 SCC 579 (India).

Combined with the low statutory penalty under Section 166⁴⁷³, the rule affects incentives. But it is not a complete shield. It protects discretion, not plainly false statements. If directors approve environmental claims with no factual basis, or despite contrary evidence, the presumption of good faith can be rebutted.

Liability Pathways for Directors and Officers

Although Section 166(2) is the main statement of directors' environmental duty, Indian law provides other routes for personal liability in greenwashing cases.

Companies Act Pathways: Section 447 on fraud is potentially the strongest tool because it covers acts, omissions, concealment, or abuse of position carried out with intent to deceive or gain undue advantage. Environmental misstatements that induce investment may fall within it. Section 339 can apply to fraudulent trading. Sections 241-244 may also support claims for prejudice to company or shareholder interests. Section 245 class actions, revived in practice by the Jindal Poly Films litigation, provide an emerging route for shareholders to seek damages from directors where greenwashing or environmental scandal causes major value loss.⁴⁷⁴

Securities Law Pathways: SEBI's enforcement toolkit can reach individuals as well as issuers through directions, debarment and, in appropriate cases, disgorgement.⁴⁷⁵ Under the PFUTP framework, greenwashing can also be treated as fraudulent or unfair trade practice, material misrepresentation, or market manipulation, exposing individuals to penalties, debarment and loss of market access.⁴⁷⁶

SAT/SEBI Cases: Emerging SAT jurisprudence has begun clarifying the boundaries of these liability pathways. In *Piramal Enterprises Ltd. v. SEBI* (2019), the SAT treated primary responsibility for the trading-window failure as lying with the

⁴⁷³ Companies Act, 2013, No. 18, § 166(7), Acts of Parliament (India).

⁴⁷⁴ Companies Act, 2013, No. 18, Acts of Parliament, § 245 (India); see *Jindal Poly Films Ltd.*, NCLT Order, C.P. No. (IB)-4219/MB/2023 (2024) (first substantive activation of Section 245 class action mechanism).

⁴⁷⁵ SEBI Act, 1992, No. 15, Acts of Parliament, §§ 11, 11B (India).

⁴⁷⁶ Securities and Exchange Board of India (Prohibition of Fraudulent and Unfair Trade Practices Relating to Securities Market) Regulations, 2003, Regs. 3–4 (India).

executive directors who had piloted the transaction and had been informed earlier, while noting that independent directors were informed only later.⁴⁷⁷ That is relevant here because it suggests that liability analysis should track actual knowledge and responsibility within the board rather than assume uniform culpability. The Bajaj Hindusthan Sugar case is particularly instructive: SEBI's Adjudicating Officer examined non-disclosure of environmental closure and penalty events under LODR Regulation 30 and allegedly misleading statements in the Business Responsibility Report concerning pending CPCB/SPCB notices. The AO reasoned that even where show-cause notices are at an initial stage, they can be "material" because outcomes are uncertain and investors are entitled to know about regulatory actions, rejecting the issuer's "immaterial/off-season/no disruption" framing.⁴⁷⁸ This reasoning directly supports the thesis that environmental regulatory actions must be disclosed as material information and that omitting them from ESG reports constitutes actionable misstatement.

Emerging NCLT/NCLAT Trends: Although no NCLT or NCLAT decision has yet addressed greenwashing or environmental misrepresentation directly, several emerging trends in tribunal jurisprudence bear on the doctrinal trajectory. The NCLT in *Fidaali Moiz Mithiborwala v. Majolica Properties* (2017) applied the business judgment rule as a "fulcrum" when reviewing board decisions under Sections 241-242, establishing that frivolous challenges to board decisions will be filtered but also that the rule does not protect decisions taken without due diligence.⁴⁷⁹ In *Union of India v. Infrastructure Leasing & Financial Services Ltd* (2018), the NCLT used its wide powers under Section 242(2) to suspend and replace the IL&FS board on grounds of systemic risk and prejudice to public interest; while not involving environmental facts, this illustrates that "public interest" can justify deep structural

⁴⁷⁷ *Piramal Enters. Ltd. v. SEBI*, Appeal No. 466 of 2016 with Appeal No. 467 of 2016, Securities Appellate Tribunal, ¶¶ 11, 16, 26 (May 15, 2019) (India).

⁴⁷⁸ *In re Bajaj Hindusthan Sugar Ltd.*, SEBI Adjudication Order No. EAD-5/AO/SV/2023 (India).

⁴⁷⁹ *Fidaali Moiz Mithiborwala v. Majolica Properties (India) Pvt. Ltd.*, NCLT Mumbai, C.P. No. 90/241-242/NCLT/MAH/2016 (Aug. 23, 2016); *appeal allowed in part*, NCLAT, Company Appeal (AT) No. 335 of 2016 (2017).

orders, which in a future case could readily include gross dereliction of environmental obligations.⁴⁸⁰

Adding to this corporate governance jurisprudence, the Delhi High Court in *Rajeev Saumitra v. Neetu Singh* (2016) clarified that Section 166 “stipulates ‘Duties of a Director to a Company’ and not ‘Rights of Shareholders,’” limiting direct shareholder enforcement of directors’ duties, a holding that reinforces the standing lacuna identified above while confirming that Section 166 duties are enforceable by the company through derivative proceedings.⁴⁸¹

Environmental Law and NGT Pathways: Section 16 of the Environment (Protection) Act, 1986 creates deeming liability for companies and responsible officers where corporate offences occur.⁴⁸² Directors and officers may also be liable where the offence occurred with their consent, connivance, or neglect, subject to due-diligence defences.⁴⁸³ The NGT cannot convict directors directly, but it can impose compensation, restoration measures and compliance directions and can trigger further proceedings for non-compliance.⁴⁸⁴ Its jurisprudence, especially in cases such as *LG Polymers* and *Volkswagen India*, shows that deliberate environmental

⁴⁸⁰ *Union of India v. Infrastructure Leasing & Fin. Servs. Ltd.*, NCLT Order, C.P. No. 3638/2018 (India).

⁴⁸¹ *Rajeev Saumitra v. Neetu Singh*, CS (OS) 2282/2015, Delhi High Court (2016); see also Nishith Desai Associates, *Directors’ Duties and Derivative Actions Under Indian Law* (2017), <https://www.nishithdesai.com> (analysing the holding that Section 166 prescribes duties owed to the company, not shareholders directly, and affirming derivative action as the appropriate enforcement mechanism).

⁴⁸² Environment (Protection) Act, 1986, No. 29, Acts of Parliament, § 16(1) (India) (“Where an offence under this Act has been committed by a company, every person who, at the time the offence was committed, was directly in charge of, and was responsible to, the company for the conduct of the business of the company . . . shall be deemed to be guilty of the offence.”).

⁴⁸³ Environment (Protection) Act, 1986, No. 29, Acts of Parliament, § 16(2) (India) (“[W]here an offence under this Act has been committed by a company and it is proved that the offence has been committed with the consent or connivance of, or is attributable to any neglect on the part of, any director, manager, secretary or other officer of the company, such director, manager, secretary or other officer shall also be deemed to be guilty of that offence.”).

⁴⁸⁴ National Green Tribunal Act, 2010, No. 19, Acts of Parliament, §§ 15–17, 19 (India).

misrepresentation can itself be treated as harm to the environmental governance system.

The Role of MCA and Enforcement Architecture

The Ministry of Corporate Affairs administers the Companies Act, 2013 through the ROC network and related registration machinery.⁴⁸⁵ It also oversees the SFIO's corporate-fraud investigation role.⁴⁸⁶ But its enforcement focus has remained conventional corporate fraud rather than ESG-related governance failures.⁴⁸⁷ Unlike SEBI or the CCPA, it has no dedicated ESG enforcement vertical. Proving a greenwashing-related Section 166(2) violation would also require technical capacity in life-cycle assessment, carbon accounting and environmental impact review, which MCA does not presently seem to have in-house.

Parliamentary Recognition of ESG Governance Gaps

This governance gap has been recognised at the parliamentary level. In its Tenth Report on Demands for Grants (2025-26) for MCA, the Parliamentary Standing Committee on Finance identified major failures in India's ESG governance structure.⁴⁸⁸ It observed that the existing framework lacked the empirical grounding and institutional design needed to deal effectively with deceptive ESG claims.

The Committee recommended: a dedicated ESG oversight body within MCA; amendment of the Companies Act to incorporate ESG more clearly into fiduciary duties, along with turnover-based penalties and director disqualification; sector-

⁴⁸⁵ See Ministry of Corporate Affairs, Government of India, *About the Ministry*, <https://www.mca.gov.in/content/mca/global/en/about-us/about-ministry.html> (last visited Sep. 27, 2025); see also Companies Act, 2013, No. 18, Acts of Parliament, §§ 396-403 (India) (establishing ROC network and registration functions).

⁴⁸⁶ Companies Act, 2013, No. 18, Acts of Parliament, §§ 211-212 (India) (establishing SFIO as a statutory body with investigative powers); see also Serious Fraud Investigation Office, Government of India, *About SFIO*, <https://sfio.gov.in> (last visited Oct. 4, 2025).

⁴⁸⁷ See Parliamentary Standing Committee on Finance, *Tenth Report on Demands for Grants (2025-26) of the Ministry of Corporate Affairs* (March-August 2025), ¶¶ 4.1-4.7 (documenting MCA's enforcement priorities and observing the absence of ESG-specific enforcement capacity).

⁴⁸⁸ Parliamentary Standing Comm. on Fin., Gov't of India, *Tenth Report on Demands for Grants (2025-26) of the Ministry of Corporate Affairs* (2025).

specific ESG guidelines; MSME support; and stronger transparency through ESG chapters in MCA's annual reporting.

MCA's response, as recorded in the Committee materials, argued that ESG principles were already embedded in the Companies Act through existing provisions such as CSR and reporting duties.⁴⁸⁹ The Committee described this response as "fundamentally defensive" and a repetition of the status quo.⁴⁹⁰

This exchange is important for three reasons. First, it shows formal governmental recognition that greenwashing is a systemic regulatory problem, not a purely academic concern. Second, MCA's defence of the status quo despite the absence of prosecutions under Section 166(2), reflects bureaucratic resistance to stronger accountability.⁴⁹¹ Third, it fits the broader pattern of regulatory backsliding discussed in Section 5.4.4.

No implementation step was identified in the Committee materials or the recorded policy response.⁴⁹² No amendment bill had been circulated, no ESG oversight body had been proposed and Section 166(2) remained unchanged. Recognition, by itself, has not produced reform.

Shareholder Remedies and Private Enforcement

Shareholders do have possible remedies. Section 241 allows petitions before the NCLT in cases of oppression and mismanagement and derivative proceedings could in theory be used where directors approve misleading environmental claims in breach

⁴⁸⁹ Parliamentary Standing Comm. on Fin., Gov't of India, *Tenth Report on Demands for Grants (2025-26) of the Ministry of Corporate Affairs* (2025) (recording MCA's response to the Committee's recommendations).

⁴⁹⁰ Parliamentary Standing Comm. on Fin., Gov't of India, *Tenth Report on Demands for Grants (2025-26) of the Ministry of Corporate Affairs* (2025).

⁴⁹¹ See Umakanth Varottil, *The Stakeholder Approach to Directors' Duties Under Indian Company Law*, in *Comparative Corporate Governance* 141, 159 (Mathias Siems & David Cabrelli eds., 2018) (describing the environmental limb of Section 166(2) as largely unenforceable in practice); see also Shreya Sircar, *Can Indian Corporate Directors Be Held Liable for Environmental Harm?*, LiveLaw (Oct. 12, 2021), <https://www.livelaw.in> (noting no instances of directors being sued for breach of the environmental duty under Section 166(2)).

⁴⁹² Parliamentary Standing Comm. on Fin., Gov't of India, *Tenth Report on Demands for Grants (2025-26) of the Ministry of Corporate Affairs* (2025).

of Section 166(2).⁴⁹³ In practice, however, such claims face serious obstacles: high evidentiary burdens, limited access to internal documents, long tribunal timelines and the fact that remedies generally flow to the company rather than individual shareholders.

International Comparative Context

As discussed in Chapter 4, several developed jurisdictions use materially stronger enforcement models, including turnover-based consumer-law penalties in the EU and some member-state transpositions,⁴⁹⁴ the UK's anti-greenwashing and sustainability-disclosure regime,⁴⁹⁵ securities and climate-disclosure enforcement exposure in the US,⁴⁹⁶ and active regulator-led greenwashing enforcement in Australia.⁴⁹⁷ Against that background, India's maximum penalty of ₹5 lakh per director and sparse enforcement record look distinctly permissive.

5.3 BROADER ENVIRONMENTAL REGULATION AND SECTORAL STANDARDS

5.3.1 ENVIRONMENT (PROTECTION) ACT, 1986 AND DELEGATED RULES

The Environment (Protection) Act, 1986 extends across India and aims to protect and improve the environment while preventing hazards to human beings, other living

⁴⁹³ Companies Act, 2013, No. 18, § 241, Acts of Parliament (India).

⁴⁹⁴ Directive 2005/29/EC, of the European Parliament and of the Council of 11 May 2005 concerning unfair business-to-consumer commercial practices in the internal market, art. 13, 2005 O.J. (L 149) 22, *as amended by* Directive (EU) 2019/2161 (permitting member state penalties tied to trader turnover for widespread infringements, with related greenwashing regimes in Europe reaching substantially higher turnover-based sanctions).

⁴⁹⁵ Fin. Conduct Auth., *Sustainability Disclosure Requirements (SDR) and Investment Labels*, CP 22/20 (2022).

⁴⁹⁶ *The Enhancement and Standardization of Climate-Related Disclosures for Investors*, 87 Fed. Reg. 21334 (proposed Apr. 11, 2022) (to be codified at 17 C.F.R. pts. 210, 229, 232, 239, 249).

⁴⁹⁷ Australian Competition and Consumer Commission, *Environmental and Sustainability Claims*, <https://www.accc.gov.au/business/advertising-and-promotions/environmental-and-sustainability-claims> (last visited Oct. 11, 2025); *see also* Australian Securities & Investments Commission, Media Release No. 24-198MR, *ASIC Continues to Crack Down on Greenwashing* (Sept. 2024).

creatures, plants and property.⁴⁹⁸ For this chapter, its importance lies in setting objective legal standards against which environmental claims can be tested.

The Act gives the Central Government wide powers to set environmental standards and define what counts as lawful conduct. These include powers to lay down environmental quality standards, prescribe pollutant discharge and emission limits, plan nationwide pollution-control measures, restrict or prohibit industries in specified areas, regulate hazardous substances, inspect premises and issue directions for prevention and control of environmental pollution.⁴⁹⁹

A core prohibition under the EPA is simple: no industry, operation, or process may discharge or emit pollutants above prescribed standards.

The delegated rules then provide the detail. Schedule I lists industry-specific discharge and emission standards. Schedule III sets ambient air quality standards, especially for noise. Schedule IV deals with emissions from motor vehicles. Schedule VI provides general discharge standards.

Anti-Greenwashing Significance

The EPA is not a direct anti-greenwashing statute, but it supplies the baseline against which claims can be judged. If a company markets itself as “green” or “eco-friendly” while violating prescribed pollution standards, the claim is immediately weakened by its own legal non-compliance. The CCPA’s 2024 Guidelines operate alongside, not in place of, these standards.

5.3.2 THE NATIONAL GREEN TRIBUNAL: REMEDIAL POWERS AND JURISDICTIONAL LIMITATIONS

NGT’s jurisdiction and Section 20 mandate discussed earlier provide the backdrop. Here the focus here is on the Tribunal’s role as an enforcement pathway that does not fit neatly within the three main pillars discussed earlier.

⁴⁹⁸ Environment (Protection) Act, 1986, No. 29, Acts of Parliament (India).

⁴⁹⁹ Environment (Protection) Act, 1986, No. 29, Acts of Parliament (India).

The NGT stands out because of the breadth of its remedies. Unlike consumer commissions, ASCI, or even SEBI, it can order compensation, environmental restoration, major monetary penalties tied to the scale of harm, expert committees, follow-up compliance supervision and directions for further proceedings where its orders are ignored. That allows it to respond in proportion to environmental damage rather than being trapped by low fixed statutory ceilings.

Two NGT cases show how corporate environmental liability can develop in ways that matter directly for greenwashing:

In *LG Polymers India Pvt Ltd* (2020), after the styrene gas leak at Visakhapatnam, the NGT took *suo motu* cognisance and ordered the company to deposit ₹50 crore as interim compensation, holding it strictly and absolutely liable for the environmental harm. The case shows the Tribunal's readiness to impose significant interim liability and to push accountability beyond the corporate entity alone.⁵⁰⁰

The *Volkswagen India* matter is even closer to greenwashing. The NGT accepted evidence that diesel defeat devices had been used to manipulate emission tests so that vehicles appeared compliant while emitting much more pollution in actual use. It imposed a ₹500 crore penalty for environmental restoration, far above the earlier interim deposit. Crucially, the Tribunal rejected the claim that absence of quantified damage should prevent liability and held that the intent to deceive regulators is itself harmful to the environmental governance framework.⁵⁰¹

Although *Volkswagen* arose from product manipulation rather than advertising, it supports three propositions relevant to greenwashing. First, environmental law can protect the *integrity of environmental reporting and claims*, not just respond to physical harm. Second, penalties can be set with deterrence in mind rather than tied narrowly to quantified loss. Third, systematic deception about environmental

⁵⁰⁰ *In re LG Polymers India Pvt Ltd*, O.A. No. 73/2020 (PHC), National Green Tribunal (May 2020) (taking *suo motu* cognisance of the Visakhapatnam styrene gas leak and directing deposit of Rs. 50 crore as interim compensation); see also The Hindu, *NGT Directs LG Polymers to Deposit Rs 50 Crore* (May 22, 2020), <https://www.thehindu.com>.

⁵⁰¹ *Volkswagen India Pvt. Ltd.*, O.A. No. 345/2019, National Green Tribunal (India).

performance is itself a form of actionable misconduct. The logic readily extends to greenwashing.

Jurisdictional Limitations and the Greenwashing Gap

Despite its broad powers, the NGT cannot become a general anti-greenwashing forum. Its original jurisdiction under Section 14 is limited to substantial environmental questions arising under the statutes listed in Schedule I. That Schedule does not include the Consumer Protection Act, the Companies Act, or the Food Safety and Standards Act. The Tribunal therefore cannot directly decide cases about misleading environmental advertising, breach of directors' environmental duties, or false food labelling. In simple terms, the NGT addresses environmental *harm*, not environmental *misrepresentation* unless that misrepresentation is tied to substantive environmental damage under the listed laws.⁵⁰²

This limit is reinforced by the standing problem discussed in Section 5.2.3. An NGO may approach the NGT about unlawful emissions, but not about the same company's "carbon neutral" advertising. So the Tribunal can address the harm that greenwashing conceals, but usually not the deception itself.

Another practical limit is that important NGT orders, including aspects of the *Volkswagen* penalty, may be challenged before the Supreme Court under Section 22. Pending appeals can therefore create uncertainty about how far the Tribunal's reasoning can be relied on.

Even so, the NGT remains important. Its proportionate penalty model, readiness to treat deception of environmental regulators as a form of harm and *suo motu* powers give it tools that no other regulator has. But because it is confined mainly to environmental harm, it cannot by itself supply a full anti-greenwashing regime.

⁵⁰² National Green Tribunal Act, 2010, No. 19, Acts of Parliament, § 14 & Schedule I (India).

5.3.3 FOOD SAFETY AND STANDARDS AUTHORITY OF INDIA (FSSAI): SECTORAL REGULATION OF ENVIRONMENTAL CLAIMS IN THE FOOD INDUSTRY

The food and beverage sector is one of the clearest sites of greenwashing in India. Claims such as “100% natural”, “organic”, “eco-friendly packaging” and “sustainably sourced” appear frequently on labels and in advertising and they directly affect consumer choices. The main regulator here is FSSAI.⁵⁰³

Statutory Framework: The FSS Act, 2006 and Subordinate Regulations

The Food Safety and Standards Act, 2006 consolidates food law and establishes FSSAI as the apex regulator responsible for science-based standards, regulation of manufacture, storage, distribution, sale and import and the broader objective of ensuring safe and wholesome food. It applies across India to all Food Business Operators.⁵⁰⁴

Three sets of subordinate regulations are especially relevant to environmental claims in the food sector:

First, the Food Safety and Standards (Advertising and Claims) Regulations, 2018 govern claims made on food products. They require claims on labels, packaging and advertisements to be truthful, clear, meaningful, non-misleading and scientifically substantiated.⁵⁰⁵ They also regulate descriptive terms such as “natural”, “fresh”, “pure” and “authentic” and require advertising claims to match the information on the label.

Second, the Food Safety and Standards (Organic Foods) Regulations, 2017 regulate production, certification, labelling and sale of organic food. Products sold as “organic” must comply with one of two recognised systems: the NPOP or PGS-India.⁵⁰⁶ The

⁵⁰³ Food Safety and Standards Act, 2006, No. 34, Acts of Parliament, § 16 (India).

⁵⁰⁴ Food Safety and Standards Act, 2006, No. 34, Acts of Parliament, §§ 3, 18 (India).

⁵⁰⁵ Food Safety and Standards (Advertising and Claims) Regulations, 2018, Reg. 3 (India).

⁵⁰⁶ Food Safety and Standards (Organic Foods) Regulations, 2017, Regs. 3–5 (India); *see also* APEDA, *National Programme for Organic Production* (2024),

Jaivik Bharat framework and the Indian Organic Integrity Database allow consumers to verify certifications.⁵⁰⁷

Third, the Food Safety and Standards (Labelling and Display) Regulations, 2020 require basic transparency through declarations of ingredients, nutrition, additives, allergens and vegetarian or non-vegetarian status.⁵⁰⁸ These rules reduce misleading presentation by omission.

Enforcement Mechanisms and the “100%” Claims Crackdown

FSSAI has become more active against misleading claims in the food sector. Through recent advisories, it warned Food Business Operators against using claims such as “100% pure”, “100% natural” and “100% organic”. The reason was straightforward: “100%” is not defined in the statutory framework and such claims create an impression of absolute purity or superiority that is usually difficult to substantiate scientifically.⁵⁰⁹ This directly targets one of the most common forms of claim inflation.

The enforcement structure works through several channels. Section 53 of the FSS Act imposes penalties up to ₹10 lakh for misleading advertisements and extends liability to publishers and endorsers as well.⁵¹⁰ FSSAI may also suspend or cancel licences of repeat offenders and prosecute under Sections 52 and 53.

https://apeda.gov.in/apedawebsite/organic/organic_contents/national_programme_for_organic_production.htm.

⁵⁰⁷ FSSAI, *Indian Organic Integrity Database*, <https://jaivikbharat.fssai.gov.in> (last visited Oct. 12, 2025).

⁵⁰⁸ Food Safety and Standards (Labelling and Display) Regulations, 2020, Regs. 3–5 (India).

⁵⁰⁹ Food Safety and Standards Authority of India, *Advisories / Orders*, <https://www.fssai.gov.in/advisories.php> (last visited Oct. 14, 2025) (reflecting recent advisories cautioning Food Business Operators against unqualified absolute “100%” claims on food labels and promotional materials).

⁵¹⁰ Food Safety and Standards Act, 2006, No. 34, Acts of Parliament, § 53 (India).

FSSAI also provides digital complaint channels through the Food Safety Connect app and the FoSCoS portal so that consumers can report misleading claims directly.⁵¹¹ This strengthens complaint-based surveillance at the ground level.

Anti-Greenwashing Significance

FSSAI matters to the greenwashing analysis in four ways.

First, it adds sector-specific depth where the CCPA provides cross-sector breadth. FSSAI defines claims such as “organic”, “natural” and “fresh” more precisely than the CCPA does. Its organic-food framework, backed by certification systems, the Jaivik Bharat logo and the Organic Integrity Database, turns “organic” into a legally verifiable designation.

Second, it illustrates the “one claim, many regulators” problem discussed in Section 5.4.2. A food label claiming to be both “100% natural” and “eco-friendly” may engage FSSAI, CCPA and ASCI at once, without any statutory coordination mechanism.

Third, its penalty structure reflects the same arbitrage problem discussed in Section 5.4.3. A maximum of ₹10 lakh under Section 53 is commercially negligible for large food companies.

Fourth, despite these weaknesses, FSSAI shows a move toward substantiation-based enforcement. Its resistance to unqualified “100%” claims shifts the system closer to standards-driven regulation.

⁵¹¹ Food Safety and Standards Authority of India, *Food Safety Connect*, <https://www.fssai.gov.in/cms/food-safety-connect.php> (last visited Oct. 16, 2025); *see also* FoSCoS, <https://foscos.fssai.gov.in> (last visited Oct. 16, 2025) (including a consumer-facing “Report Misleading Claims” channel).

5.3.4 BIS ECOMARK CERTIFICATION SCHEME

The BIS Ecomark Certification Scheme provides a voluntary product-labelling mechanism meant to identify genuinely environment-friendly products and give consumers and regulators a benchmark above bare legal compliance.⁵¹²

The Eco Mark, also called the Eco Label, is granted to products that meet the scheme's requirements. Administered by BIS under the BIS Act, 1986 and launched in 1991, it is a voluntary labelling scheme for consumer products considered environment-friendly on specific quality and environmental criteria.

Its purpose is to identify environment-friendly products, help consumers make informed choices and reward manufacturers who reduce environmental harm. A product qualifies only if its production, use, or disposal reduces environmental harm over its life cycle compared with similar products.

BIS assesses certification against a range of environmental factors, including pollution potential, recyclable or biodegradable content, resource use, waste generation, energy use, disposal impacts and overall life-cycle performance.

The Eco Mark Symbol and Certification Process

The Ecomark logo uses an earthen pot to symbolise renewable resources, low energy use and absence of hazardous waste.

When a product bears both the Eco Mark and the ISI mark, it signals compliance with environmental criteria as well as applicable quality standards.

Manufacturers must apply through BIS product-certification channels. BIS then inspects the product and tests samples through its testing infrastructure and recognised laboratories.⁵¹³

⁵¹² Bureau of Indian Standards, *Product Certification Overview* (including Ecomark within BIS product-certification materials), <https://www.bis.gov.in/product-certification/product-certification-overview> (last visited Oct. 20, 2025).

⁵¹³ Bureau of Indian Standards, *Product Certification Overview*, <https://www.bis.gov.in/product-certification/product-certification-overview> (last visited Nov. 2, 2025); *see also* Bureau of Indian Standards, *List of BIS Recognized Laboratories*, <https://www.bis.gov.in/laboratorys/list-of-bis-recognized-lab> (last visited Nov. 2, 2025).

Role in Anti-Greenwashing Efforts

Ecomark helps combat greenwashing because it provides a standardised, third-party verified basis for environmental claims.

Where the CCPA's Greenwashing Guidelines prohibit vague and unsubstantiated claims, Ecomark supplies a clearer benchmark that can help justify them.

5.3.5 INTELLECTUAL PROPERTY AND LABELING

This area combines consumer protection and intellectual property to address deceptive environmental branding and labelling.

The Trademark Act, 1999 serves as an indirect but useful tool against greenwashing because trademarks often shape the consumer's first impression and misleadingly green marks can distort markets and trust.⁵¹⁴

- Section 9(1)(b): Trademarks Rejected if Likely to Deceive: The Act provides absolute grounds for refusal where marks are deceptive or lack distinctiveness.⁵¹⁵
 - Under Section 9(2)(a), a mark cannot be registered if it is likely to deceive the public or cause confusion. A mark implying that a product is eco-friendly or carbon neutral without real substantiation may therefore be refused.
 - Section 9 also blocks marks that consist only of indications about the kind, quality, or characteristics of goods or services. Generic green terms such as “EcoClean” or “100% Green” may therefore be refused if they are merely descriptive or misleading.
- Passing Off Action: Remedies also exist for unregistered marks or deceptive use of registered marks. This matters especially for recognised eco-labels such as the BIS Eco Mark. Misusing a seal such as “certified organic” without proper certification can amount to false advertising and passing off. Courts

⁵¹⁴ S. Gupta, *Understanding Greenwashing and Trademarks in India*, SpicyIP (Aug. 15, 2024), <https://spicyip.com> (last visited Nov. 7, 2025).

⁵¹⁵ Trade Marks Act, 1999, No. 47, Acts of Parliament (India).

may grant injunctions, damages or an account of profits and destruction or erasure of infringing material.

- **Endorser Liability:** The CCPA Guidelines also apply to manufacturers, service providers, traders, advertising agencies and endorsers. The trademark owner must ensure that permitted use does not mislead. Under the Consumer Protection Act, 2019, the CCPA may impose penalties on manufacturers or service providers and can bar endorsers for one to three years.

5.4 CRITICAL ANALYSIS OF REGULATORY ARCHITECTURE AND SYSTEMIC GAPS

By this point, the question is not whether India has anti-greenwashing law. It does. The question is why those rules still fail to produce credible deterrence. The answer is structural. What follows in the sub-sections moves from description to diagnosis. Each gap is treated either as a legislative lacuna, an intentional policy silence, or an interpretive ambiguity, because the remedy depends on the source of the defect.

5.4.1 DEFINITIONAL AND TERMINOLOGICAL INCONSISTENCY

Definitional clarity is the first condition of effective enforcement. If regulators and markets do not share a common understanding of what counts as a misleading environmental claim, it becomes difficult to identify violations, specify proof and apply sanctions consistently. The CCPA's 2024 Guidelines introduced an explicit definition of greenwashing, but only within their own silo.

The harder problem is the coexistence of multiple, partly overlapping vocabularies across consumer protection, securities regulation and corporate governance. That gives room for regulatory arbitrage, because actors can frame claims to fit whichever standard is least demanding.

(a) One phenomenon, multiple scopes

Across the three pillars, the same green claim is understood differently. The CCPA treats it as a consumer-facing representation about goods, services, process,

packaging, use, or disposal.⁵¹⁶ SEBI treats it more narrowly as an investor-protection and disclosure issue, especially in BRSR reporting and ESG-labelled instruments.⁵¹⁷ ASCI treats it as an advertising problem within a self-regulatory framework.⁵¹⁸ As a result, a claim such as “eco-friendly”, “climate positive”, or “net zero” may be assessed differently depending on whether it appears on packaging, in advertising, in ESG reports, or in finance documents.

(b) Undefined or under-specified technical terms

Many modern green claims are technical: “carbon neutral”, “net zero”, “carbon negative” and offset-based claims. Even where substantiation is required in principle, India lacks a consistently applied cross-sector standard for acceptable methodology, such as which emission scopes must be covered, what counts as a credible offset, or what kind of verification is sufficient. Regulators can prohibit vague claims, but without common technical benchmarks they cannot assess cases consistently.

The CCPA’s 2024 Greenwashing Guidelines illustrate this gap concretely. The Guidelines mandate “substantiation” but provide no claim-specific standards for what constitutes adequate evidence:

Table 5.1: Claim Types and Substantiation Gaps under the CCPA Guidelines

Claim Type	What the Guidelines Require	What Remains Unspecified
“Carbon neutral”	Verifiable evidence	Which emission scopes must be covered? What offset quality standards

⁵¹⁶ Central Consumer Protection Authority, *Guidelines for the Prevention and Regulation of Greenwashing and Misleading Environmental Claims* (Oct. 15, 2024), ¶ 3(a) (India) (defining “greenwashing” and the scope of environmental claims covered).

⁵¹⁷ Securities and Exchange Board of India, *Circular on Business Responsibility and Sustainability Reporting by Listed Entities*, SEBI/HO/CFD/CMD-2/P/CIR/2021/562 (May 10, 2021); *see also* SEBI, *Circular on Disclosure Requirements for Issuers of Green Debt Securities*, SEBI/HO/DDHS/DDHS-RAC-1/P/CIR/2023/153 (Sept. 20, 2023).

⁵¹⁸ Advertising Standards Council of India, *ASCI Guidelines for Advertisements Making Environmental/Green Claims* (effective Feb. 15, 2024), <https://ascionline.in>.

Claim Type	What the Guidelines Require	What Remains Unspecified
		apply? What inventory methodology is acceptable?
“Biodegradable”	Scientific evidence	Under which testing standard (e.g., ISO 14855)? Within what timeframe? Under what conditions?
“Recyclable”	Reliable evidence	What minimum recycling facility availability? What material composition rules?
“Renewable energy”	Verification	Power Purchase Agreements vs. Renewable Energy Certificates? Annual vs. temporal matching?
“Net-zero”	Clear, actionable plans	What baseline year? What interim targets? What cap on offsets? Is a science-based pathway required?

The FTC Green Guides in the United States take a more claim-specific approach.⁵¹⁹ The CCPA Guidelines, by contrast, require substantiation without giving equivalent technical detail. Enforcement therefore becomes subjective and uneven.

(c) Different legal thresholds for wrongdoing

⁵¹⁹ Federal Trade Commission, *Guides for the Use of Environmental Marketing Claims* (Green Guides), 16 C.F.R. § 260 (2012), <https://www.ftc.gov/sites/default/files/attachments/press-releases/ftc-issues-revised-green-guides/greenguides.pdf>.

The same conduct attracts different legal thresholds depending on the pathway. Consumer law can reach misleading, vague, or unsubstantiated claims.⁵²⁰ Securities law often requires a stronger showing of materiality, intent, or market effect.⁵²¹ Corporate governance law turns on good faith and director discretion, which is harder to challenge in practice.⁵²² So the market-facing statement may be penalised while the board-level decision behind it escapes scrutiny.

Practical effects

This inconsistency produces three practical consequences. Compliance becomes form-driven rather than truth-driven. Enforcement becomes fragmented because regulators may see technical climate claims as someone else's problem. And consumers and investors receive mixed signals because identical terms can carry different standards in different forums.

Doctrinal analysis: This fragmentation is best understood as a genuine legislative lacuna, not an intentional silence. The CPA, SEBI Act and Companies Act were enacted for different domains, without anticipating that environmental claims would cut across all of them. Courts may interpret the statutes within their own fields, but they cannot fully harmonise the definitions across statutes without legislative or coordinated regulatory action.

⁵²⁰ Consumer Protection Act, 2019, No. 35, Acts of Parliament, §§ 2(28), 2(47), 18 (India) (defining “misleading advertisement” and “unfair trade practice” with a consumer-facing, information-asymmetry standard).

⁵²¹ Securities and Exchange Board of India (Prohibition of Fraudulent and Unfair Trade Practices Relating to Securities Market) Regulations, 2003, Regs. 3-4 (India) (requiring proof of fraud, manipulation, or material misrepresentation in connection with securities transactions).

⁵²² Companies Act, 2013, No. 18, Acts of Parliament, § 166(2)-(7) (India); *see also* § 463 (power to grant relief in certain cases where directors acted honestly and reasonably).

5.4.2 STRUCTURAL FRAGMENTATION AND JURISDICTIONAL AMBIGUITY

Greenwashing also exposes a coordination failure: several regulators could act, yet none clearly leads. That overlap, combined with weak coordination, allows misleading environmental claims to fall through the cracks.

Consider a common multi-forum scenario. A listed packaged-food company markets a product as “100% carbon neutral” on packaging and in mass advertising, repeats the claim on its website through a private certification and presents the same claim in its BRSR.

Suppose an investigation later finds that the claim rests on weak offsets, a life-cycle assessment that excludes major Scope 3 emissions and a certifier with no credible accreditation or transparent methodology.

The jurisdictional question is immediate: who regulates one claim when it moves across consumer markets, capital markets and board-approved disclosures?

Table 5.2: One Claim, Many Legal Doors and the Gaps Between Them

Where the claim appears	Primary “home” regulator/law	What that regulator can do	What falls outside (the gap)
Packaging / advertising	CCPA under CPA 2019 (plus ASCI self-regulation)	Treat as misleading advertisement / unfair trade practice; order modification, penalties, endorser action	Cannot directly police investor disclosures or board-level governance failures tied to the same claim
BRSR / investor-facing ESG disclosure	SEBI (LODR, PFUTP)	Treat as misstatement to investors; market-conduct enforcement	Cannot regulate consumer packaging/ads even when the wording is identical

Where the claim appears	Primary “home” regulator/law	What that regulator can do	What falls outside (the gap)
Board approval / governance sign-off	MCA / Companies Act (Section 166(2))	In theory, director-duty accountability	In practice, weak deterrence and negligible greenwashing enforcement track record
Food-product label compliance	FSSAI	Act against misleading food labels within its remit	Limited technical infrastructure to verify carbon neutrality, offsets, or LCA boundaries
Offsets/LCA verification ecosystem	No dedicated cross-sector “claims verifier” regulator	None	Quality-control vacuum: verification standards and verifier competence often sit outside any single regulator’s core mandate

One claim is thus broken into several partial cases, which invites deferral and weakens remedial response.

In practice, four failures follow.

1. No Lead Regulator Designation: There is no statutory mechanism to identify a lead regulator for cross-cutting greenwashing cases.
2. Regulatory Deferrals: Each regulator may assume the matter falls mainly within another’s domain:

- CCPA may view the BRSR disclosure as “SEBI’s domain”
 - SEBI may view the product packaging as “CCPA’s consumer protection matter”
 - MCA views all of it as sectoral regulator territory
 - FSSAI views carbon claims as outside its food safety expertise
 - MoEFCC views it as consumer/corporate law, not environmental clearance
3. Information Asymmetry: Even if one regulator acts, there is no mandatory system requiring it to notify others about parallel misconduct.
 4. Fragmented Penalties: Even where more than one regulator acts:
 - CCPA might fine ₹10 lakh for misleading advertising
 - SEBI might impose penalty for BRSR mis-statement
 - MCA takes no action against directors
 - Result: The company faces dual corporate penalties but no governance-level accountability. The directors who orchestrated the entire campaign remain unaffected, free to approve similar campaigns in future.

The “carbon neutral food product” example shows the accountability vacuum clearly. The claim is too dispersed for one regulator to address fully and too weakly coordinated for several regulators to handle coherently.

The narrowing of the Supreme Court’s SDC directive in *IMA v. UOI* (2024) deepens this gap. The Court’s order initially required pre-publication self-declaration for all advertisements, but the MIB later confined it to food and health. As a result, some of the environmental claims most vulnerable to greenwashing, such as “eco-friendly”, “sustainable”, “net-zero” and “carbon neutral”, remain outside that pre-emptive screening mechanism.

Doctrinal analysis: This jurisdictional ambiguity is not a carefully designed policy choice. It is the result of sector-specific laws evolving separately and now colliding over environmental claims. Because each regulator is confined by its own statute, interpretation alone cannot fix the problem. A lead-regulator mechanism or formal coordination protocol is needed.

Systemic Causes of Jurisdictional Ambiguity

This is a structural defect, not a hypothetical concern. First, there is no clear hierarchy or primacy rule. The CCPA Guidelines say they operate “in addition to and not in derogation of” other laws and that the more specific law will prevail.⁵²³ But they do not say which law is more specific when a claim spans several domains, nor do they provide a mechanism for resolving disputes.

Second, the system is built from sectoral silos without integration. Consumer protection, securities law, corporate law, food safety and environmental law developed separately. Sustainability claims now cut across all of them, but there is still no horizontal framework to bring them together.

Third, India has not created a Greenwashing Task Force or ESG Coordination Committee that could receive complaints, allocate lead responsibility, coordinate investigations, share evidence and harmonise penalties. Without that infrastructure, regulators remain insulated from one another.

Case Study: Green Taxonomy Paradox: Fragmentation by Addition

Regulators, scholars and the Parliamentary Standing Committee on Finance have all recognised the absence of harmonised environmental definitions, and the Committee recommended coordinated ESG guidelines and a dedicated oversight body.⁵²⁴ Yet the

⁵²³ Cent. Consumer Prot. Auth., *Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims*, Notification No. F. No.-CCPA/28/2023-CCPA (Oct. 15, 2024) (India).

⁵²⁴ Parliamentary Standing Comm. on Fin., Gov’t of India, *Tenth Report on Demands for Grants (2025-26) of the Ministry of Corporate Affairs* (2025).

executive response has largely added another layer rather than harmonised the existing ones.

In response, India's Ministry of Finance announced in Budget 2024-25 the development of a Climate Finance Taxonomy. A draft framework was released for public consultation in May 2025.⁵²⁵

At first glance, the taxonomy appears to fill the definitional gap. In practice, it follows the same fragmented pattern: rather than harmonising the existing framework, it adds another silo alongside CCPA, SEBI and ASCI.

The draft Climate Finance Taxonomy classifies economic activities as “climate-supportive” or “transition-supportive”, aims to channel capital toward climate goals and seeks to reduce greenwashing by using clearer definitions. It initially covers six priority sectors and sets technical screening criteria for each.

The taxonomy sits with the Ministry of Finance, while the RBI has developed a parallel taxonomy. Neither is integrated with SEBI's BRSR framework, the CCPA's 2024 Guidelines, ASCI's environmental-claims framework, or MCA's CSR framework. It therefore functions mainly as a finance-sector tool, not as part of a unified anti-greenwashing system.

The paradox is plain. Instead of a unified standard, the taxonomy becomes a fifth framework layered on top of the earlier ones.

The key disconnect is that the taxonomy defines green activity for investment classification, but not for consumer-facing product claims, corporate sustainability disclosures, or advertising standards. A company may therefore appear green in one framework while making misleading claims in another.

Consider a listed renewable energy company raising capital through green bonds to fund solar projects. Under the taxonomy, the project may qualify as “climate-supportive”. Under SEBI's green debt rules, the bond follows disclosure standards built around international principles rather than the taxonomy. Under BRSR Core, the

⁵²⁵ Min. of Fin., Dep't of Econ. Aff., Gov't of India, *Climate Finance Taxonomy Draft Framework* (May 2025).

company reports ESG metrics using another set of definitions. Under CCPA and ASCI, an advertising claim such as “100% clean energy” is judged under yet another framework. The company is therefore navigating several overlapping standards at once.⁵²⁶

The taxonomy does not harmonise the field because it remains finance-focused, excludes many consumer-facing sectors, lacks binding integration with enforcement mechanisms and is complicated further by the RBI’s parallel green-deposit classification framework.⁵²⁷

For greenwashing, the effect is complication without coordination. Sophisticated actors can engage in “taxonomy shopping”, emphasise the framework that suits them best and use partial compliance to create broader legitimacy. In that sense, the taxonomy delays harmonisation rather than delivering it.

True harmonisation would have required uniform definitions, cross-regulator oversight, integrated disclosure rules and linked penalty structures. The May 2025 draft does not do this. It remains an additional classification tool within an already fragmented system.

⁵²⁶ Min. of Fin., Dep’t of Econ. Aff., Gov’t of India, *Climate Finance Taxonomy Draft Framework* (May 2025); see also Securities and Exchange Board of India, *Circular on Business Responsibility and Sustainability Reporting by Listed Entities*, SEBI/HO/CFD/CMD-2/P/CIR/2021/562 (May 10, 2021); SEBI, *Circular on Disclosure Requirements for Issuers of Green Debt Securities*, SEBI/HO/DDHS/DDHS-RAC-1/P/CIR/2023/153 (Sept. 20, 2023); SEBI, *Regulatory Framework for Issuance and Listing of ESG Debt Securities*, Circular No. SEBI/HO/DDHS/RACPOD1/P/CIR/2025/95 (June 5, 2025), https://www.sebi.gov.in/legal/circulars/jun-2025/regulatory-framework-for-issuance-and-listing-of-esg-debt-securities_95058.html (last visited Sep. 24, 2025); Cent. Consumer Prot. Auth., *Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims*, Notification No. F. No.-CCPA/28/2023-CCPA (Oct. 15, 2024) (India); Advertising Standards Council of India, *ASCI Guidelines for Advertisements Making Environmental/Green Claims* (effective Feb. 15, 2024), <https://ascionline.in>.

⁵²⁷ Reserve Bank of India, *Framework for Acceptance of Green Deposits* (Apr. 11, 2023), <https://www.rbi.org.in/Scripts/NotificationUser.aspx?Id=12487> (last visited Nov. 8, 2025) (creating a bank-facing classification framework for green deposits that operates in parallel to the Ministry of Finance’s draft climate-finance taxonomy).

India's Green Taxonomy therefore supports the wider thesis point: fragmentation is not just a legacy problem but an ongoing pattern. Even when policymakers recognise the gap, the response remains additive rather than integrative.

Information Silos and Absence of Coordination Protocols

The accountability vacuum is also sustained by the absence of formal information-sharing and coordination protocols among regulators.⁵²⁸ If CCPA penalises a listed company for misleading green claims, there is no mandatory notification to SEBI about related BRSR disclosures. If SEBI detects ESG misstatements, there is no automatic referral to MCA about possible Section 166(2) breaches. Sectoral regulators such as FSSAI or BIS likewise have no institutionalised route for escalating false environmental claims to the wider anti-greenwashing framework.

Other jurisdictions show more developed coordination or parallel enforcement infrastructure. In the UK, the CMA's Green Claims Code sits alongside the FCA's sustainability-disclosure regime.⁵²⁹ EU authorities coordinate through the Consumer Protection Cooperation Network and conduct sustainability-claim sweeps.⁵³⁰ In Australia, both the ACCC and ASIC maintain active greenwashing guidance and enforcement agendas.⁵³¹

⁵²⁸ See OECD, *Regulatory Enforcement and Inspections: OECD Best Practice Principles* (2014) (recommending formal inter-agency coordination protocols for cross-cutting regulatory issues); cf. Administrative Reforms Commission, Government of India, *Fifteenth Report: State and District Administration* (2009) (discussing inter-agency coordination deficits in Indian regulatory governance generally).

⁵²⁹ Competition & Mkts. Auth., *Green Claims Code: Making Environmental Claims* (U.K.); see also Fin. Conduct Auth., *Sustainability Disclosure Requirements (SDR) and Investment Labels*, CP 22/20 (2022).

⁵³⁰ European Comm'n, *Sweeps*, https://commission.europa.eu/live-work-travel-eu/consumer-rights-and-complaints/enforcement-consumer-protection/sweeps_en (last visited Nov. 16, 2025).

⁵³¹ Australian Competition and Consumer Commission, *Environmental and Sustainability Claims*, <https://www.accc.gov.au/business/advertising-and-promotions/environmental-and-sustainability-claims> (last visited Nov. 20, 2025); see also Australian Securities & Investments Commission, Media Release No. 24-198MR, *ASIC Continues to Crack Down on Greenwashing* (Sept. 2024).

India has no equivalent framework.⁵³² CCPA, SEBI and MCA still operate largely in isolation, without joint teams, shared technical experts, harmonised penalties, or a unified enforcement database. That produces duplicate investigations, evidence gaps and opportunities for forum-shopping.

Even when violations are detected, the economic logic can still favour greenwashing, as the next subsection explains.

5.4.3 THE PENALTY ARBITRAGE: ECONOMIC INCENTIVES FOR GREENWASHING

Penalty design matters because firms compare expected gain with expected sanction. On that comparison, Indian law often leaves the commercial incentive intact. Across the three pillars, expected gains can exceed expected legal risk.

Doctrinal analysis: The penalty problem is partly legislative design. CCPA and MCA ceilings are fixed by statute, so courts cannot solve the issue by interpretation. SEBI has somewhat greater flexibility under the PFUTP framework, but that does not eliminate the wider mismatch between greenwashing profits and likely sanctions. The problem therefore points toward legislative reform, especially turnover-based penalties, rather than merely stricter use of existing ceilings.

The arithmetic is easy to see. For a company with turnover of ₹10,000 crore, the CCPA's maximum penalty of ₹50 lakh is only 0.005% of annual revenue. That is commercially negligible. It also sits uneasily with the Polluter Pays logic reflected in Section 20 of the NGT Act, which points toward proportionate sanctions.

The inadequacy of India's penalty architecture becomes apparent on the face of the statutes themselves when the maximum sanctions prescribed by each pillar are examined side by side.

⁵³² See generally SEBI Act, 1992, No. 15, Acts of Parliament, § 11 (India); Consumer Protection Act, 2019, No. 35, Acts of Parliament, § 18 (India); Companies Act, 2013, No. 18, Acts of Parliament, § 396 (India) (none of these establishing cross-agency coordination mechanisms for overlapping regulatory domains).

Statutory Penalty Maxima Across Regulatory Bodies

Table 5.3: Statutory Penalty Maxima Across Regulatory Bodies

Regulator / Statute	Statutory Provision	Maximum Penalty
CCPA (Consumer Protection)	CPA 2019, Sections 18 and 21	₹10 lakh fine + up to 2 years imprisonment (first offence); ₹50 lakh + up to 5 years (subsequent offence). Endorser prohibition for 1–3 years.
SEBI (Securities mis-statement)	PFUTP Regulations; SEBI Act, Section 15HA	Up to ₹25 crore per violation; disgorgement of illegal gains; director debarment (case-by-case). FY 2024-25: aggregate penalties of ₹28.2 crore across 239 entities, averaging approximately ₹12 lakh per entity.
MCA (Director duty breach)	Companies Act 2013, Section 166(7)	Fine of ₹1 lakh to ₹5 lakh per director. No provision for director disqualification, turnover-based fines, or disgorgement.
Companies Act (Fraud)	Companies Act 2013, Section 447	Imprisonment of 6 months to 10 years; fine up to 3× the fraud amount. Available in principle, but requires proof of intent to deceive, a higher threshold than

Regulator / Statute	Statutory Provision	Maximum Penalty
		the misleading-advertisement standard under the CPA 2019.
FSSAI (Food labelling)	FSS Act 2006, Section 53	Penalty up to ₹10 lakh for misleading advertisements; license suspension/cancellation for repeat offenders. No turnover-based fines or imprisonment for first offence.
NGT (Environmental harm)	NGT Act 2010, Sections 15-17, 20, 26	No fixed statutory maximum; penalties calibrated to magnitude of environmental harm and enterprise capacity (e.g., ₹500 crore in Volkswagen India). Non-compliance with NGT orders: imprisonment up to 3 years, fine up to ₹10 crore, or both. Jurisdiction limited to environmental harm under Schedule I statutes, not environmental misrepresentation.

Three features of this penalty structure are especially important:

First, most penalty ceilings are fixed amounts rather than scaled to corporate size. That makes them weak deterrents for large companies. The NGT is the main exception: its proportional penalty model shows that Indian law can accommodate stronger deterrence, though only within the Tribunal's limited jurisdiction over environmental harm.

Second, the strongest Companies Act tool, Section 447 on fraud, requires proof of intent to deceive. That can be hard to establish in greenwashing cases where companies rely on certifiers, internal ESG teams, or uncertainty in measurement methods.

Third, the pillars impose penalties independently, without coordinated sanctioning. In practice, that means the theoretical combined exposure across regulators is rarely realised.

Taken together, the penalty structure is modest, scale-blind and fragmented. In that setting, sanctions operate more like a cost of doing business than a real deterrent.

International Comparison: Penalty Structures That Deter

As Chapter 4 showed, several other jurisdictions calibrate penalties and enforcement tools to exceed the commercial benefit of deception. EU consumer law permits turnover-based sanctions for widespread infringements.⁵³³ The UK combines consumer-protection scrutiny of green claims with the FCA's sustainability-disclosure framework.⁵³⁴ The US relies on claim-specific guidance and securities-law exposure for misleading environmental representations.⁵³⁵ Australia combines ACCC guidance with increasingly visible greenwashing enforcement by market regulators.⁵³⁶

India's framework remains far below these benchmarks. Even SEBI's ₹25 crore ceiling under the PFUTP framework can amount to a tiny fraction of annual revenue for large listed companies. This makes greenwashing economically rational where the

⁵³³ Directive 2005/29/EC, of the European Parliament and of the Council of 11 May 2005 concerning unfair business-to-consumer commercial practices in the internal market, art. 13, 2005 O.J. (L 149) 22, *as amended by* Directive (EU) 2019/2161 (authorising penalties up to 4% of annual turnover for widespread cross-border infringements, with some national greenwashing enforcement regimes and related consumer-law reforms reaching higher turnover-based caps).

⁵³⁴ Fin. Conduct Auth., *Sustainability Disclosure Requirements (SDR) and Investment Labels*, CP 22/20 (2022).

⁵³⁵ *The Enhancement and Standardization of Climate-Related Disclosures for Investors*, 87 Fed. Reg. 21334 (proposed Apr. 11, 2022) (to be codified at 17 C.F.R. pts. 210, 229, 232, 239, 249).

⁵³⁶ Australian Competition and Consumer Commission, *Environmental and Sustainability Claims*, <https://www.accc.gov.au/business/advertising-and-promotions/environmental-and-sustainability-claims> (last visited Nov. 21, 2025); *see also* Australian Securities & Investments Commission, Media Release No. 24-198MR, *ASIC Continues to Crack Down on Greenwashing* (Sept. 2024).

expected reputational and financial gain exceeds the expected penalty, discounted by the low probability of detection.

This incentive problem is made worse by regulatory backsliding, discussed in the next subsection.

5.4.4 REGULATORY BACKSLIDING AND CAPTURE

Greenwashing persists not only because the framework has gaps, but also because existing safeguards can be weakened over time. In India, that backsliding is visible in three connected developments: SEBI diluted parts of the disclosure and verification framework, MCA refused to build governance-level ESG enforcement and the executive narrowed judicially mandated controls on advertising.⁵³⁷ *Doctrinal analysis:* Unlike the earlier gaps, this problem concerns administrative retreat rather than missing legislation. The central point is practical: these steps weaken deterrence and favour compliance convenience over regulatory purpose.

(A) SEBI relaxations: diluted checks before baseline compliance

SEBI approved a package of ESG-related relaxations in December 2024 and implemented them in early 2025 under the heading of ease of doing business. The concern is not that compliance burden was acknowledged; it is that the relaxations reduce speed, scope and verification strength while the BRSR system is still taking shape.⁵³⁸

Three changes matter most for greenwashing risk:

1. **Longer ERP correction lag (10 → 45 days)** SEBI extended the review window for ESG Rating Providers after BRSR publication from 10 days to 45

⁵³⁷ SEBI, Circular on Regulatory Relaxations for Ease of Doing Business, Circular No. SEBI/HO/DDHS/DDHS-RACPOD1/P/CIR/2025/5 (Jan. 17, 2025); *see also* SEBI, Circular on BRSR Related Amendments, Circular No. SEBI/HO/CFD/CFD-SEC-2/P/CIR/2025/11 (Mar. 28, 2025).

⁵³⁸ SEBI, Circular on Regulatory Relaxations for Ease of Doing Business, Circular No. SEBI/HO/DDHS/DDHS-RACPOD1/P/CIR/2025/5 (Jan. 17, 2025).

days.⁵³⁹ This lengthens the period in which capital can be allocated based on stale ratings even when fresh BRSR disclosures contradict sustainability narratives.

2. **Value-chain disclosure pushed back and narrowed** SEBI deferred mandatory value chain disclosures by one year,⁵⁴⁰ and shifted from a “comply-or-explain” posture to voluntary reporting during the transition period.⁵⁴¹ When mandatory reporting begins, coverage is narrowed through a $\geq 2\%$ partner threshold and a 75% cap on procurement/sales coverage, enabling lawful non-disclosure of significant portions of the chain.⁵⁴²
3. **Verification softened via “assessment or assurance”** By allowing “assessment or assurance” rather than requiring assurance, the framework introduces a lower-rigor path that can become the market default, reducing comparability and confidence in the accuracy of ESG information used by investors.⁵⁴³

Implications These changes do more than easing compliance. They lengthen the period in which ESG claims can circulate without correction and reduce visibility into high-impact value-chain emissions. They make selective disclosure easier.

⁵³⁹ SEBI, Circular on Regulatory Relaxations for Ease of Doing Business, Circular No. SEBI/HO/DDHS/DDHS-RACPOD1/P/CIR/2025/5 (Jan. 17, 2025).

⁵⁴⁰ SEBI, Circular on BRSR Related Amendments, Circular No. SEBI/HO/CFD/CFD-SEC-2/P/CIR/2025/11 (Mar. 28, 2025), <https://www.sebi.gov.in/legal/circulars/mar-2025> (last visited Nov. 22, 2025).

⁵⁴¹ SEBI, Board Meeting Minutes and Press Release (Dec. 2024), <https://www.sebi.gov.in/media-and-notifications/press-releases.html> (last visited Nov. 25, 2025).

⁵⁴² SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, *as amended* (2025), https://www.sebi.gov.in/legal/regulations/feb-2015/securities-and-exchange-board-of-india-listing-obligations-and-disclosure-requirements-regulations-2015-last-amended-on-january-17-2025-_34254.html (last visited Dec. 1, 2025).

⁵⁴³ SEBI, Circular on BRSR Related Amendments, Circular No. SEBI/HO/CFD/CFD-SEC-2/P/CIR/2025/11 (Mar. 28, 2025), <https://www.sebi.gov.in/legal/circulars/mar-2025> (last visited Nov. 22, 2025).

They also move against the broader international trend toward stronger value-chain reporting and early-stage assurance. The EU has moved toward more demanding sustainability reporting and assurance structures.⁵⁴⁴ The United States has also pushed toward more standardised climate-related disclosures for investors.⁵⁴⁵ The UK has likewise advanced sustainability disclosure and labelling reforms in financial markets.⁵⁴⁶ The result is a market that disadvantages firms making fuller disclosures and lowers the cost of appearance-based ESG performance.

(B) MCA inertia: governance accountability blocked at the source

Backsliding is amplified when governance accountability remains dormant. As discussed earlier, the Parliamentary Standing Committee recommended an ESG oversight body, stronger statutory penalties and sector-specific ESG guidance.⁵⁴⁷ MCA rejected those proposals as unnecessary.⁵⁴⁸ The Committee was justified in calling that response “fundamentally defensive”.⁵⁴⁹

(C) MIB narrowing of the Supreme Court’s SDC directive: executive dilution of judicial mandate

Another form of backsliding is the narrowing of the Supreme Court’s SDC directive in *IMA v. UOI* (2024). Turning a universal pre-publication requirement into an annual declaration limited to food and health removed many environmental claims from pre-emptive scrutiny. Claims such as “eco-friendly”, “sustainable”, “net-zero” and

⁵⁴⁴ Directive 2022/2464, of the European Parliament and of the Council of 14 December 2022, 2022 O.J. (L 322) 15.

⁵⁴⁵ *The Enhancement and Standardization of Climate-Related Disclosures for Investors*, 87 Fed. Reg. 21334 (2022).

⁵⁴⁶ Fin. Conduct Auth., *Sustainability Disclosure Requirements (SDR) and Investment Labels*, CP 22/20 (2022).

⁵⁴⁷ Parliamentary Standing Comm. on Fin., Gov’t of India, *Tenth Report on Demands for Grants (2025-26) of the Ministry of Corporate Affairs* (2025).

⁵⁴⁸ Parliamentary Standing Comm. on Fin., Gov’t of India, *Tenth Report on Demands for Grants (2025-26) of the Ministry of Corporate Affairs* (2025) (recording MCA’s response to the Committee’s recommendations).

⁵⁴⁹ Parliamentary Standing Comm. on Fin., Gov’t of India, *Tenth Report on Demands for Grants (2025-26) of the Ministry of Corporate Affairs* (2025).

“carbon neutral” therefore remain outside the verification mechanism the Court considered important.

Synthesis: capture through retreat, inaction and dilution

Taken together, SEBI’s relaxations, MCA’s refusal to build an ESG enforcement vertical and MIB’s narrowing of the SDC framework amount to complementary forms of backsliding across the three pillars. One weakens investor-facing verification, one blocks governance accountability and one removes consumer-facing claims from pre-emptive scrutiny. The combined result is a system in which greenwashing remains a relatively low-risk misrepresentation.

While this subsection shows how political economy pressures can erode disclosure standards, the next subsection turns to operational limitations, explaining why even well-designed rules may fail in implementation, compounding structural and economic gaps.

5.4.5 ENFORCEMENT AND SURVEILLANCE LIMITATIONS

Section 5.4.2 focused on design flaws. This subsection addresses operational failure: how the system still breaks down in practice even where jurisdiction is theoretically clear. These limitations add to the structural and economic gaps already discussed.

These limitations are mostly institutional and operational, not legislative. The statutes already confer considerable investigative and enforcement authority. Much of the gap therefore turns on implementation, staffing, expertise and coordination rather than on formal absence of legal power. Some sector-specific gaps, however, such as the absence of a statutory carbon-offset registry and Product Category Rules, remain genuine legal lacunae.

Limited Proactive Surveillance and Resource Constraints

In practice, much of the system remains reactive and complaint-led, supplemented by post-facto review rather than a clearly institutionalised anticipatory monitoring regime.⁵⁵⁰

CCPA still depends mainly on the National Consumer Helpline.⁵⁵¹ The materials reviewed for this chapter do not reveal a dedicated proactive surveillance programme for environmental claims, a sweep mechanism, or a specialist surveillance unit. On the materials reviewed for this chapter, no publicly reported CCPA action had been identified specifically under the Greenwashing Guidelines after they came into force in October 2024. FSSAI’s digital reporting channels are useful but still complaint-based.⁵⁵² Among the institutions examined here, only the NGT can act *suo motu* and even that is limited to environmental harm rather than green claims as such.⁵⁵³⁵⁴

Effective enforcement also requires technical expertise in carbon accounting, life-cycle assessment and offset validation, which regulators still largely lack. The materials reviewed for this chapter do not disclose an ESG enforcement vertical within MCA or a track record of Section 166(2) enforcement. CCPA likewise does not appear to have any publicly described in-house scientific verification capacity for technically complex claims such as “carbon neutral” or “100% biodegradable”. SEBI also remains largely reactive: the materials reviewed do not reveal a dedicated ESG

⁵⁵⁰ Dep’t of Consumer Aff., Gov’t of India, *Annual Report 2024-25* (2025), <https://consumeraffairs.nic.in/annual-reports> (last visited Apr. 14, 2026); Advert. Standards Council of India, *Annual Complaints Report 2024-25* (2025), <https://www.ascionline.in/wp-content/uploads/2025/05/Digital-ASCI-Annual-Complaints-Report-2024-2025.pdf> (last visited Apr. 14, 2026); Food Safety and Standards Authority of India, *Food Safety Connect*, <https://www.fssai.gov.in/cms/food-safety-connect.php> (last visited Apr. 14, 2026).

⁵⁵¹ Dep’t of Consumer Aff., Gov’t of India, *Annual Report 2024-25* (2025), <https://consumeraffairs.nic.in/annual-reports> (last visited Sep. 4, 2025).

⁵⁵² Food Safety and Standards Authority of India, *Food Safety Connect*, <https://www.fssai.gov.in/cms/food-safety-connect.php> (last visited Oct. 16, 2025); *see also* FoSCoS, <https://foscos.fssai.gov.in> (last visited Oct. 16, 2025) (including a consumer-facing “Report Misleading Claims” channel).

⁵⁵³ *In re LG Polymers India Pvt Ltd*, O.A. No. 73/2020 (PHC), National Green Tribunal (May 2020) (taking *suo motu* cognisance of the Visakhapatnam styrene gas leak and directing deposit of Rs. 50 crore as interim compensation); *see also* The Hindu, *NGT Directs LG Polymers to Deposit Rs 50 Crore* (May 22, 2020), <https://www.thehindu.com>.

⁵⁵⁴ National Green Tribunal Act, 2010, No. 19, Acts of Parliament, § 14 & Schedule I (India).

enforcement division, a systematic BRSR audit programme, or routine cross-checking of ESG disclosures against environmental compliance records. FSSAI's AMC is one more proactive model, but it remains limited to the food sector.

Sectoral Lacunae

Some specific gaps remain. India has no statutory carbon-offset registry or verification framework comparable to major international systems.⁵⁵⁵ It has no mandatory Product Category Rules to standardise methodology across product classes.⁵⁵⁶ New categories such as “green hydrogen”, “circular economy” and “biodiversity net positive” also lack clear definitions and verification standards.

Detection-to-Enforcement Pipeline Gaps

There are also delays between detection and consequence. Consumer cases often take two to five years for adjudication.⁵⁵⁷ During that time, the claim may continue to shape conduct and produce commercial benefit. India also lacks a unified public database of greenwashing enforcement actions, which reduces reputational deterrence.⁵⁵⁸

These operational limitations complete the picture. Structural fragmentation affects who can act, penalty design affects whether companies are deterred, regulatory backsliding weakens standards and operational constraints determine whether enforcement occurs at all.

⁵⁵⁵ *Greenwashing and ESG Compliance in India: Legal Accountability for Misleading Sustainability Claims*, Record of Law (July 23, 2025), <https://recordoflaw.in> (last visited Dec. 10, 2025).

⁵⁵⁶ P. Pimpalkar, *Legal Accountability for Greenwashing: Addressing Misleading Environmental Claims in Corporate Practices*, 7(5) Int'l J. Res. Pub. & Rev. 1024 (2024).

⁵⁵⁷ See National Consumer Disputes Redressal Commission, *Annual Report 2023-24* (reporting case pendency and average disposal timelines); see also India Today, *Consumer Courts Are Failing Consumers: The Reality of Case Delays* (Mar. 2024), <https://www.indiatoday.in> (documenting that complex consumer protection cases take an average of 2-5 years for final adjudication across district and state commissions).

⁵⁵⁸ Cf. UK Competition and Markets Authority, *Green Claims Code Enforcement Database*, https://www.gov.uk/cma-cases?case_type=greenwashing (providing publicly accessible enforcement records); contrast with the absence of any equivalent Indian database aggregating greenwashing enforcement across CCPA, SEBI, and MCA.

5.5 CONCLUSION

India's greenwashing failure is architectural. That is the chapter's central finding. The accountability vacuum persists not because the law is empty, but because the legal pieces do not operate as a coherent system.

The underlying doctrinal base is stronger than it first appears. Article 21, the Supreme Court's reading of Section 166(2), the Companies Act's fraud and mismanagement provisions, SEBI's disclosure and PFUTP powers, FSSAI's claims framework and the NGT's proportionate remedial model all provide real hooks for accountability. The law is not short of norms.

What it lacks is alignment. Definitions remain fragmented across CCPA, SEBI, ASCI and FSSAI. Cross-cutting claims still move without a lead regulator. Section 166(2)'s environmental duty remains difficult to enforce because standing is narrow. Penalties are usually too small to deter large firms. And administrative backsliding has softened safeguards in the name of compliance convenience. So the same claim can travel across packaging, advertising, ESG reporting and board approval while each institution sees only part of the misconduct.

Chapter 6 takes up the reform question. It turns this chapter's doctrinal findings into specific proposals on coordination, verification, director accountability and penalty design.